Japan Metals Sector

APAC Focus: Reassessing AI/DC profit pools

Equities

Japan
Mining & Metals

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We examine the differentiation strategies and potential for further share price upside of five data center-related names—Fujikura, Sumitomo Electric Industries, Furukawa Electric, Mitsui Kinzoku, and JX Advanced Metals. The market tends to view AI/data center-related names as a single group, but the technological bottlenecks and profit pools controlled by each company differ substantially. We believe future excess returns will accrue not to companies based on the scale of AI investment itself, but to those that control technological constraints within the supply chain, including ease of installation, low power consumption, high-density packaging, and crystal quality. Following recent share price corrections, we think investors should focus less on the scale of AI exposure and more on the sustainability of profit margins and potential for ROIC improvement.

Market recognises growth but not fully the differences in earnings structure

As AI infrastructure evolves, bottlenecks are shifting from optical-fiber supply to high-density optical interconnects, low-power optical devices, advanced substrate and semiconductor materials. Our analysis suggests Fujikura targets profit pools tied to installation efficiency and high-density interconnects; Sumitomo Electric and Furukawa Electric to optical devices and communications quality; Mitsui Kinzoku to high-density packaging materials; and JX Advanced Metals to advanced crystal materials. The market remains focused on AI-demand exposure and may not fully reflect differences in competitive positioning or ROIC upside.

Mitsui Kinzoku (5706, Buy) is our top industry pick

While the market appears to recognise the growth potential of the high-performance copper foil business, led by MicroThin™, we believe it has yet to fully reflect expanding optical-transceiver substrate applications, a richer mix of high-value-added products including VSP™ and FaradFlex®, and the scope for ROIC improvement through pricing. We forecast copper foil-related profit will account for 51% of earnings in FY3/27, rising to 58% in FY3/28 and 63% in FY3/29.

Figure 1: Price target summary

Company	Rating	Current Price 10/14/2026	Target Price		Gap	P/BV	DPS		Dividend Yield
		JPY	JPY	JPY	%	Mar27e	Mar27 UBS	Mar27 CE	Mar27e
5706 Mitsui Kinzoku	Buy	2,602	5,620 →	**4,100**	57.6%	3.75	28.0	28.0	17.8%
5803 Fujikura	Buy	5,200	8,320 →	**6,270**	20.6%	11.15	89.6	38.0	40.0%
5802 Sumitomo Electric Industries	Buy	2,318	3,845 →	**2,890**	24.7%	2.47	45.0	50.0	37.7%
5801 Furukawa Electric	Neutral	3,885	5,290 →	**4,060**	4.5%	5.51	26.0	26.0	15.1%
5016 JX Advanced Metals	Neutral	3,460	New initiation	**3,700**	6.9%	4.03	51.1	20.0	27.0%

Source: UBS estimates

This report has been prepared by UBS Securities Japan Co., Ltd.. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 33.**

UBS Research THESIS MAP

MOST FAVORED	LEAST FAVORED
Mitsui Kinzoku, Fujikura	**JX Advanced Metals**

PIVOTAL QUESTIONS

Q: Can excess returns at AI/stocks be maintained?

Yes. We see limited signs of deterioration in their highly profitable business structures and believe companies that control key technology bottlenecks can sustain and expand excess returns. However, where the "profit pool" accrues will likely vary depending on product area, including high-density optical interconnects, optical devices, packaging materials, and advanced semiconductor materials, and the competitive positioning of companies in each. Going forward, whether differentiation factors such as quality, reliability, mass-production technology, customer base, and business model remain effective in the face of intensifying competition will likely be a key determinant of performance gaps among companies.

UBSVIEW

We believe the high-margin structure of data center (DC)-related stocks will likely remain intact for the time being. However, we expect future share price performance to be driven less by the growth rate of DC demand itself and more by which technological bottlenecks in the supply chain each company controls and whether that company can sustain and expand excess returns. The market still tends to view DC-related stocks as a single group, but the profit pools targeted and sources of competitive advantage vary significantly by company. We believe performance disparities among the companies are likely to widen.

EVIDENCE

Following Q1 FY3/27 results, OP margins at the companies under our coverage remained high and continued to rise despite cost inflation and higher fixed costs, with the exception being Sumitomo Electric, which faced temporary factors such as equipment issues. There have been no signs of a deterioration in profitability due to price competition. In fact, Fujikura continues to invest in capacity expansion, primarily for high-density optical wiring solutions; Mitsui Kinzoku for MicroThin™; and Sumitomo Electric for optical devices. New entrants face significant barriers in these products due to stringent qualification requirements, including increasingly demanding and diverse quality and performance specifications, reliability in maintaining stable supply, and production yields.

WHAT´S PRICED IN?

We believe that the market has already largely priced in AI data-center demand growth and differences in AI exposure across companies. However, we believe the market does not fully appreciate the potential for margin expansion and ROIC improvement arising from control of key technological bottlenecks. In particular, we believe the correction has been excessive for Mitsui Kinzoku, Fujikura and Sumitomo Electric. By contrast, growth expectations appear to be substantially reflected in the share prices of Furukawa Electric and JX Advanced Metals.

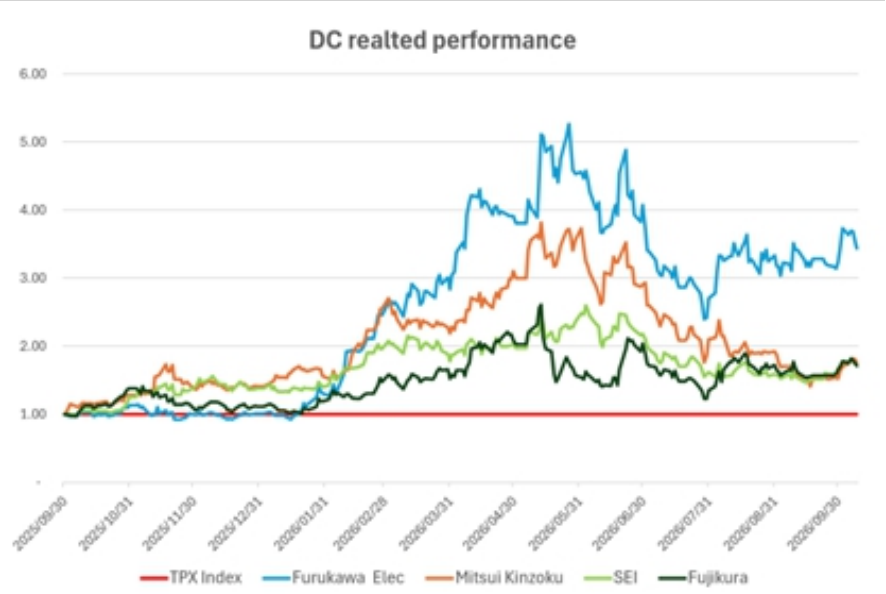
Figure 2: Why stock performance should diverge

Company	Key Bottleneck	Positioning	Earnings Impact	UBS View
Mitsui Kinzoku	High-density packaging	The Undisputed Leader in Copper Foil : MicroThin 98%<share / HVLP4&5 80%<share	Copper foil profit mix: 30% → 60%+	**Most underestimated**
Fujikura	Installation time reduction / high-density connectivity	Solution-oriented business model with a leading market position in high-density optical interconnect solutions	Infocom OPM: 23% → 37%	**Underestimated**
Sumitomo Electric	Low-power optical communications	Among the industry leaders in optical active devices (CW-LDs) and multi-core optical connectors (MMCs)	Infocom profit mix: 19% → 45%+	**Underestimated**
Furukawa Electric	Volume growth	Expanding into the DC market through optical fiber cables, connectors, thermal parts,etc	Growth remains primarily volume-driven	**Fairly valued**
JX Advanced Metals	InP substrate quality and larger wafer diameters	High market share in semiconductor sputtering targets and InP substrates	Contribution to group earnings remains limited	**Fairly valued**

Source: UBS estimates

WHAT´S PRICED IN?

Figure 3: Performance vs. TOPIX for DC-related non-ferrous metal stocks



Source: Bloomberg,UBSe

AI/DC-related stocks have broadly entered a correction phase since May 2026. However, performance divergence among companies has been significant. While the market continues to assume ongoing growth in AI investment and GPU demand, it assigns very different valuations to the sustainability of competitive advantages and the potential for margin expansion across companies. In our view, current share-price performance is being driven less by demand growth itself and more by the market's assessment of which companies control key technological bottlenecks and can convert those advantages into excess returns.

In our view, Mitsui Kinzoku, Fujikura and Sumitomo Electric occupy the position of "defending champions" within their respective profit pools. Although we expect further margin expansion and ROIC improvement, their shares have been discounted by concerns over Asian competitors entering the market and a potential slowdown in telecommunications-related demand. While the market recognizes demand growth, it does not fully reflect the value of the technological bottlenecks these companies control or the shift in earnings mix toward higher-margin businesses.

By contrast, expectations for volume growth and Focus-business expansion appear to be more fully reflected in the valuations of Furukawa Electric and JX Advanced Metals. The sustainability of their competitive advantages and the certainty of future profitability improvements remain areas that require further validation. As a result, we do not view the recent correction as uniformly excessive across all names. Investment attractiveness differs meaningfully depending on the degree of control over technological bottlenecks and the likelihood of a favorable shift in the profit portfolio.

Mitsui Kinzoku: Market over-discounting competition risk: Investors remain focused on the entry of Asian competitors into the HVLP copper foil market. Defu Copper Foil (301511.SZ) has announced increased shipments of HVLP4 products and the commencement of test shipments of carrier copper foil, reinforcing concerns about rising competition. In our view, however, the primary driver of earnings growth is not HVLP copper foil but MicroThin™, where the company retains a near-monopoly position. The market appears to be pricing in competitive risk while underestimating the scope for further ROIC expansion.

Fujikura: Still viewed primarily as an optical fiber company: Its conservative medium-term plan and frequent guidance revisions have led investors to adopt a cautious view on earnings visibility. Relative to Corning, which emphasizes long-term customer contracts, Fujikura may also suffer a discount associated with perceived order uncertainty. We believe, however, that the company's value creation is increasingly driven not by optical fiber itself but by high-density optical wiring solutions and engineering services. The potential for further margin expansion and ROE improvement remains underappreciated.

Sumitomo Electric: Market over-discounting the conglomerate structure: The market continues to view SEI primarily as a diversified wire-and-cable and automotive supplier, resulting in only limited recognition of earnings growth within the Infocommunications business. While investments in optical devices, optical connectors and ultra-high-fiber-count optical cables are generally understood, the resulting improvement in ROE and the shift in the profit portfolio are not fully reflected in valuation. We believe the concentration of management resources on high-share businesses such as EMLs, CW-LDs and MMC-connector ferrules could drive a meaningful improvement in profitability. The company has the potential to transition from being viewed as a stable-growth conglomerate to being viewed as an optical communications growth company.

Furukawa Electric: Volume growth largely priced in; profitability improvement is the key issue: It has broad exposure to AI/DC-related growth areas, including optical cables, optical components, optical devices and liquid-cooling modules. We believe the market already recognizes the benefits of capacity expansion and volume growth, particularly in thermal products and optical solutions. However, at this stage, the company does not appear to control a technological bottleneck that would support a sustainable profitability advantage relative to peers, and in many areas it remains more of a challenger than an incumbent leader. The key question is not volume growth itself, but whether a higher mix of value-added products and improved profitability in thermal products can narrow the margin gap versus peers.

JX Advanced Metals: Growth expectations for Focus businesses have moved ahead of execution: The market places a high valuation on the long-term growth prospects of Focus businesses, particularly sputtering targets and InP substrates. Expectations for growth in the InP substrate business already appear to be reflected in the share price. At the same time, Base businesses still account for a significant portion of earnings, meaning growth in Focus businesses does not automatically translate into strong growth at the group level. Furthermore, the planned introduction of the VGF process for InP substrates introduces execution risk related to production ramp-up and yield improvement. We believe the market may not be fully accounting for these risks when assessing the sustainability and profitability of future growth.

Figure 4: What's pricing in /not fully pricing in

Company	What the market is pricing in	What the market is not fully pricing in	ROE Consensus vs UBSe Mar28	P/BV Current vs UBS PT	P/E Current vs UBS PT	UBS View
Mitsui Kinzoku	Competitive risks in AI-server HVLP copper foil; earnings volatility of the metals business	Expansion of MicroThin™ into optical-transceiver applications; FaradFlex®; product differentiation in HVLP; ROIC expansion scenario	Cons 19.3% / UBSe 24.2%	2.8x / UBS PT 5.8x	15.1x / UBS PT 22.4x	Most underestimated
Fujikura	Strong AI/DC optical-connectivity demand; dependence on external optical-fiber procurement; eventual normalization of optical-fiber supply-demand conditions	Solution-based business model; margin expansion; ROE improvement	41.3% / UBSe 44.0%	11.4x / UBS PT 11.9x	24.6x / UBS PT 24.2x	Underestimated
Sumitomo Electric	Conglomerate discount; high weighting of low-margin businesses	Increasing allocation of management resources to Infocommunications; margin expansion; profit portfolio shift	13.3% / UBSe 14.6%	2.2x / UBS PT 3.0x	17.2x / UBS PT 24.2x	Underestimated
Furukawa Electric	Volume growth in optical cables, optical devices and liquid-cooling modules	Sustainability of a higher mix of value-added products	23.7% / UBSe 23.6%	4.6x / UBS PT 5.5x	20.8x / UBS PT 23.6x	Fairly valued
JX Advanced Metals	Growth expectations for Focus businesses, particularly InP substrates	Declining earnings from Base businesses; execution risk associated with the ramp-up of 6-inch substrates	24.2% / UBSe 23.9%	4.3x / UBS PT 4.0x	16.9x / UBS PT 20.4x	Fairly valued

Source: UBS

INVESTMENT RATING SUMMARY

The five data center-related companies under our coverage target earnings based on differing positions

The market often values these companies collectively as AI/DC-related stocks. In reality, however, the business domains in which each company operates and the sources of its competitive advantage differ substantially. We classify the DC-related market into four layers: (1) passive components (optical wiring and connectivity), (2) active components (optical devices), (3) substrate materials (PCB and packaging), and (4) advanced materials (semiconductor materials). Although the benefits of expanding AI/DC investment will extend across all these layers, the profit pools captured by each company and the sources of excess returns do not necessarily overlap.

The market has thus far focused on demand growth rates, including AI investment and GPU shipment volumes. However, we believe future corporate value will be determined not by overall data center (DC) demand itself, but by which technological bottlenecks within the supply chain each company controls. As AI infrastructure becomes faster and denser, the challenges customers face are shifting from simple supply shortages to installation time, power consumption, signal quality, high-density integration, and crystal yields. Accordingly, the source of competitiveness is also shifting from production capacity itself to the technologies and expertise needed to address these challenges.

For example, key competitive factors include installation efficiency and space savings for passive components; lower power consumption and signal quality for active components; high-density packaging and low signal loss for substrate materials; and larger diameters and crystal quality for advanced materials. These fields require customer certification, long-term development investment, and accumulated expertise in achieving mass-production yields, making new entry and competitive catch-up difficult. We believe companies that control such technological bottlenecks are more likely to sustain high profit margins and return on invested capital (ROIC) over the long term.

Within the group of companies under our coverage, Fujikura targets high-density optical wiring solutions, Sumitomo Electric and Furukawa Electric target optical devices and optical communications infrastructure, Mitsui Kinzoku targets high-density packaging materials, and JX Advanced Metals targets advanced semiconductor materials, with each company pursuing a distinct profit pool. What matters is not the extent to which each company benefits from AI demand, but whether it can translate these technological advantages into profit growth and improved capital efficiency. This report examines each company's control over bottlenecks, the materiality of this control to earnings, and what is and is not priced into the current share price.

Figure 5: Bottlenecks by layer

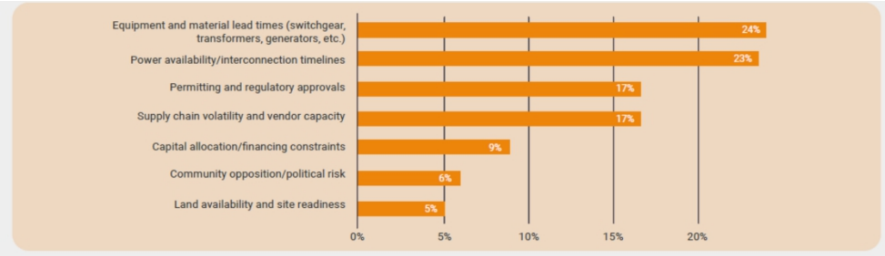
Company	P/E (FY1)	ROE (FY1)	Bottleneck
Passive Optical Components			
Fujikura	**26.1**	**51.9%**	Installation time, space requirements, insertion loss
Corning	44.6	22.7%	
Prysmian	22.7	20.3%	
Active Optical Components			
Sumitomo Electric	**19.8**	**13.0%**	Power consumption, signal quality, reliability
Furukawa Electric	**23.8**	**25.8%**	
Lumentum	45.4	36.1%	
Printed Circuit Boards			
Mitsui Kinzoku	**13.7**	**22.0%**	High adhesion, high heat resistance, low signal loss
Defu Technology	63.0	20.5%	
Advanced Semiconductor Materials			
JX Advanced Metals	**20.6**	**24.6%**	Shift from supply capacity to large-diameter crystal quality

Source: UBS

#1 Bottlenecks in the passive component domain are shorter installation time and space savings

In AI/DC construction, the value added required of passive components, such as fibre-optic cables, connectors, and other connectivity equipment, extends beyond transmission performance alone. Ease of installation, including ease in handling, which directly shortens construction timelines, and space-saving solutions for DC campuses, in-building cabling, racks, and cable trays are important sources of value and competitive differentiation. According to a Data Center Dynamics survey of 88 projects, equipment delivery lead times and power connections are the main construction constraints (Figure 6). UBS Evidence Lab data indicate that the pace of growth in planned North American DC construction is accelerating further, making it clear that faster delivery and installation of fibre-optic cables and related components will also be required.

Figure 6: Survey of data center construction constraints (bottlenecks)



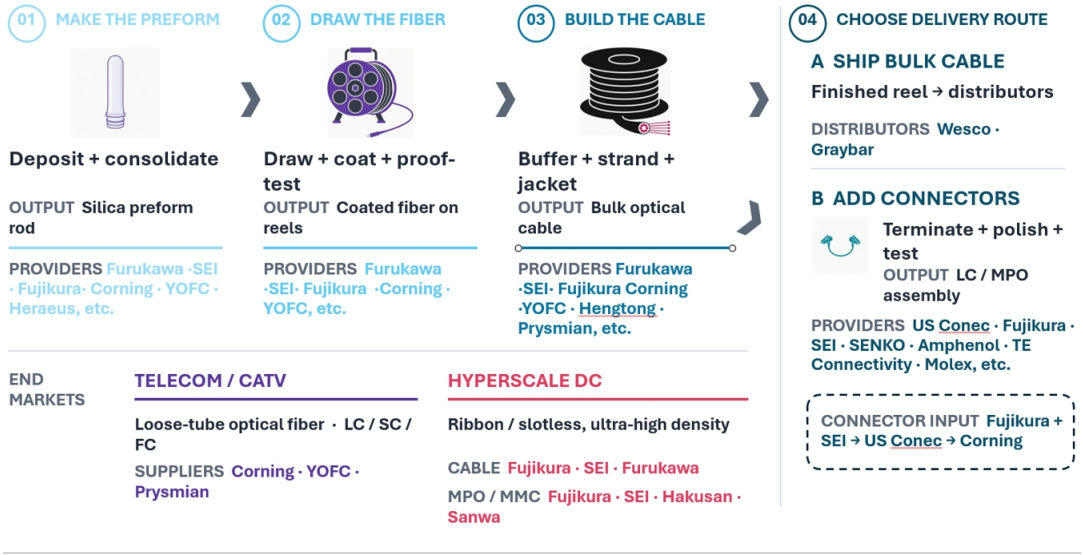
Source: Foresight, Data Center Dynamics, UBS

In the Campus Connectivity and DCI (Data Center Inter connectivity) markets, where Fujikura has a strong position, the source of competitive advantage lies not in bare optical fiber itself but in midstream and downstream processes, including ribbon processing, cable processing, connector processing, and connection and installation solutions. Customers focus not on the price of optical fiber alone, but on reducing total costs by cutting installation labour and downtime, and we believe companies capable of achieving short installation periods and lead times are more likely to maintain high profitability. In the US data center market in particular, Fujikura's engineering service provider business serves as its point of entry and is a key differentiator, underpinning its favourable margins.

Global optical fibre supply-demand conditions and optical fibre prices in the Chinese market are key indicators to monitor. However, optical fibre itself has limited added value and cannot alone explain the earnings structure or competitive advantages. Rather, added value is concentrated in processes that reduce the aforementioned installation costs and construction schedule risks, and the actual profit pool may be shifting toward connectivity and implementation solutions.

Japanese manufacturers' competitiveness is supported by intermittently bonded ribbon technologies such as SWR (Fujikura), Free Form Ribbon (Sumitomo Electric), and Rollable Ribbon (Furukawa Electric), as well as ultra-high-fiber-count cables using slotless structures. These technologies enable both shorter installation time and high-density implementation, and their importance is increasing as AI clusters become larger. In addition, value creation in cabling systems is gradually shifting to pre-connected cables and multi-fiber optical connectors. In particular, MT ferrules and TMT ferrules for next-generation MMC connectors require highly precise mold technology and mass-production know-how, creating high barriers to entry. We believe the profit pool in the AI optical cabling market is shifting from optical fiber strands to high-density optical cabling solutions. Companies that can achieve shorter installation time, space savings, and low-loss connections will likely continue to earn excess returns.

Figure 7: Fiber/ cable / connector supply chain



Source: UBS

Furthermore, in-building cabling differentiation is shifting toward complete cabling systems, including pre-connectorized cables. Customers require high-density cabling systems that can be deployed reliably within a short timeframe. Accordingly, the ability to provide solutions that shorten installation time through simultaneous multi-fiber connections, ensure consistent connection quality, and improve maintainability is itself becoming a source of competitiveness.

One of the key components of cabling systems is the MT ferrule, the core component of a multi-fiber push-on (MPO) connector. It aligns the connections of 12-fiber, 16-fiber, and 24-fiber optical fiber ribbons with submicron precision and determines connection loss and reliability. Furthermore, in the upcoming Scale-Up phase, adoption of compact MMC (Very Small Form Factor) connectors that enable high-density packaging is expected to expand, likely increasing the importance of MMC (TMT) ferrules as their core component. Japanese manufacturers, led by Fujikura, including Sumitomo Electric Industries, SENKO, and Hakusan, have already established strong positions in multi-fiber connector components. However, ferrule manufacturing requires ultra-precision mold technology, high-precision resin molding technology, and dimensional stability in mass production, presenting significant barriers to entry.

As AI clusters increase in scale, the primary source of value creation in optical cabling systems is likely shifting from optical fiber itself to connectivity technologies incorporating high-precision connectors and ferrules—in other words, "high-density

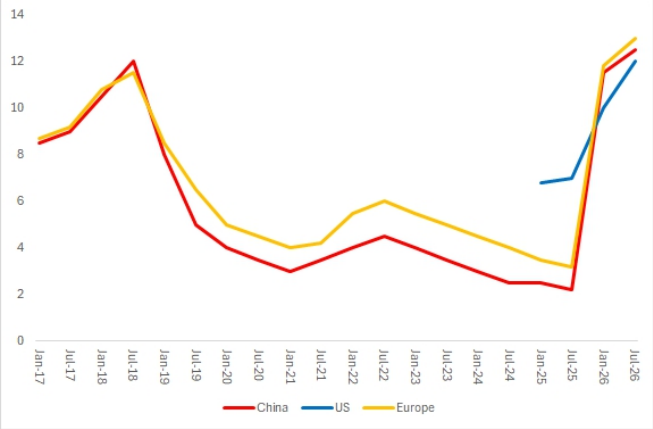
optical cabling solutions." We believe the ability to simultaneously shorten installation lead times, increase cabling density, and achieve low-loss connectivity will likely be the source of competitive advantage and a key differentiator from commodity suppliers.

Figure 8: Cable offerings: Differences in optical fiber cable technologies

Company	Ribbon Fiber Offerings	Fiber count (highest for G.657)	Diameter (mm)	Density (f/mm)
Fujikura	Spider Web Ribbon (SWR)	13,824	39.3	352
Furukawa	Rollable Ribbon	13,824	40	346
Sumitomo Electric Industry	Freeform Ribbon	6,912	34	203
Sterlite	Celesta (IBR)	6,912	35.2	196
Corning	RocketRibbon	6,912	40	173
Prysmian	FlexRibbon	6,912	50.8	136
CommScope / Amphenol	N-LN (rollable ribbon)	3,456	27.5	126
ZTT	flexible fiber ribbons	17,280	45	384
YOFC	ASR	6,912	33	209
Fiberhome	Unknown	13,824	40	346
Hnegtong	Unknown	13,824	Unknown	Unknown

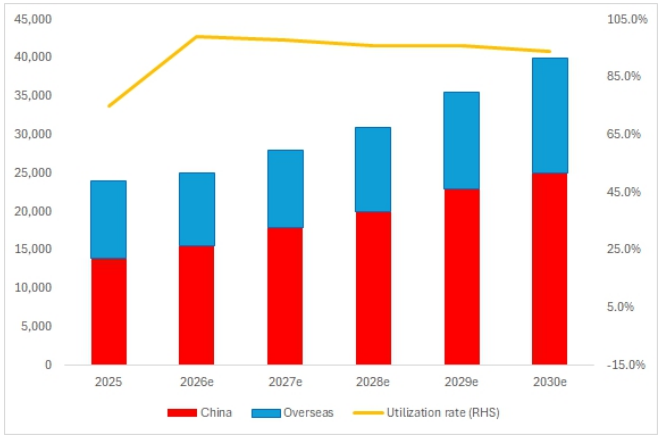
Source: UBS, company data

Figure 9: Global fiber price surge driven by AI data center boom



Source: CRU, UBS estimates

Figure 10: Capacity utilization rate >90%

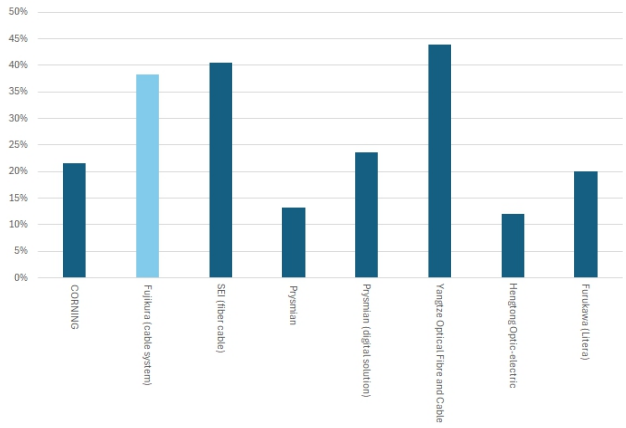


Source: UBS estimates

These differentiating factors are reflected in Fujikura's higher OP margin and ROE versus peers (Figures 11-12). However, its valuation multiples are low, particularly relative to Corning, its closest direct competitor (Figure 13). We forecast Fujikura's Information and Communications OP growth at +180.0% yoy, +17.0% yoy, and +11.0% yoy in FY3/26, FY3/27, and FY3/28, respectively. We also forecast an EPS CAGR of 65.1% versus FY3/25, compared with consensus of 51.3%.

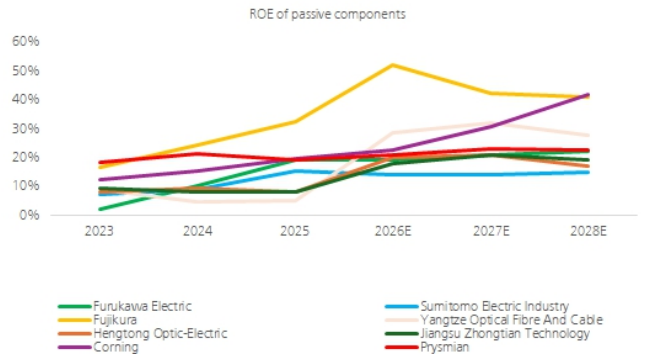
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Figure 11: OP margin of passive components group



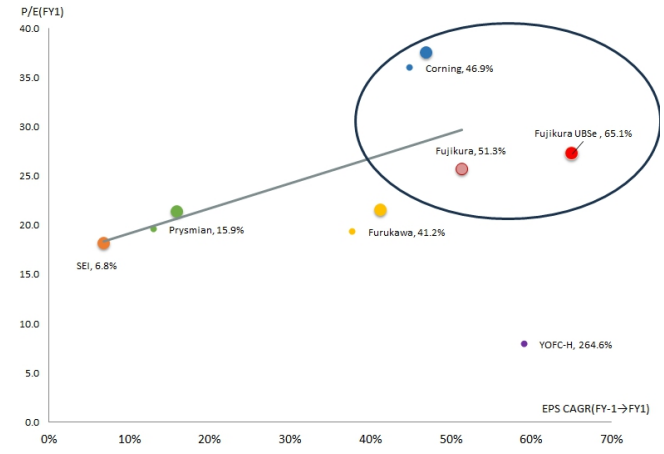
Source: UBS, Company data, Visible Alpha

Figure 12: ROE of passive components



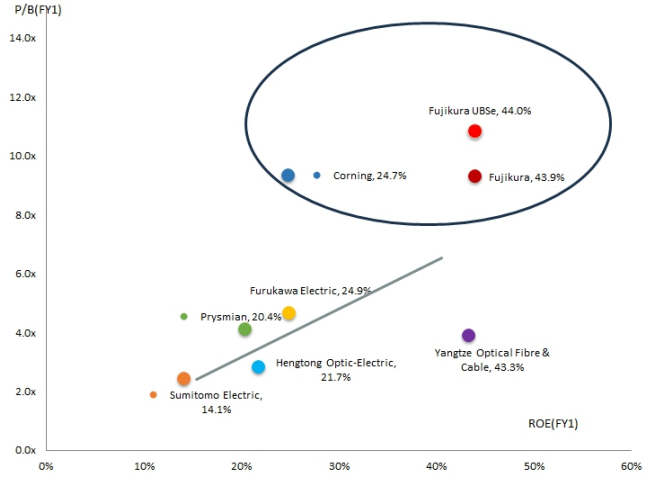
Source: UBS, Company data, Visible Alpha

Figure 13: Passive components-related consensus EPS CAGR vs. P/E FY1



Source: Bloomberg, UBSe

Figure 14: Passive Components: Consensus ROE vs. P/B



Source: Bloomberg, UBSe

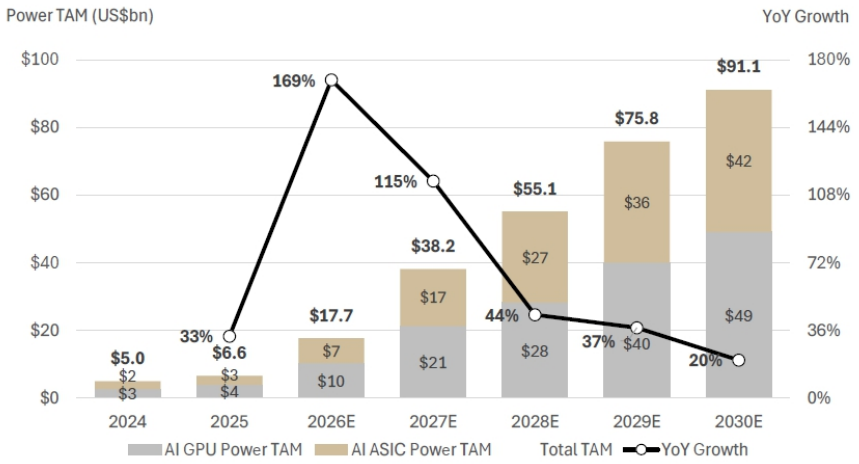
#2 Low power consumption and signal quality/reliability are bottlenecks for active devices

Growth in AI infrastructure can be divided into Scale-Out, which involves increasing the number of GPU clusters, and Scale-Up, which involves increasing speed and density within clusters. As highlighted by the UBS Global Tech Team (Figure 15), communication speeds for Scale-Up are increasing from 400G to 800G, 1.6T and eventually 3.2T, making power consumption and heat generation across the system increasingly significant constraints. As speeds increase, performance requirements for components such as DSPs (Digital Signal Processors), drivers, TIAs, LDs, and PDs are rising rapidly. LPO (Linear Pluggable Optics) in particular requires the optical devices to compensate for signal correction functions conventionally handled by the DSP, making LD and PD performance, including conversion efficiency, temperature characteristics, durability and yield, increasingly important. Looking further ahead, we think the adoption of NPO and CPO will move the optical engine closer to the ASIC, making optical devices capable of delivering low power consumption, high conversion efficiency and high reliability as a key determinant of competitiveness (Figure 16). We therefore see device performance that can combine signal quality with low power consumption as the biggest technological bottleneck in active devices.

Within our coverage, Sumitomo Electric and Furukawa Electric have exposure to this area. Looking ahead, we think differentiation will increasingly depend not simply on higher communication speeds, but on the ability to deliver higher output with lower

power consumption, higher yields, and greater durability.

Figure 15: AI Power TAM growth



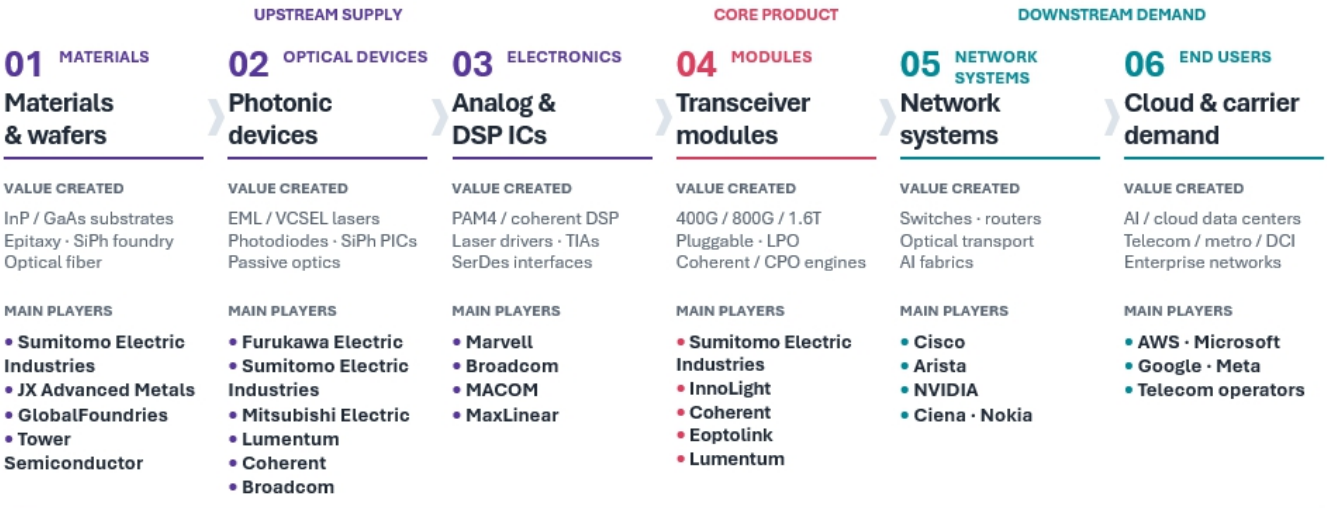
Source: UBS Global tech team (report link)

Figure 16: Pluggable transceiver vs LPO vs NPO vs CPO

	Pros	Cons
Traditional pluggables	Most mature, offering a balance between cost and performance	3.2T and above would be challenging; Could be constrained by DSP limited supply
LPO	Cost-efficient as DSP is removed	Signal loss may arise without DSP
NPO	Closer to switch ASIC so higher and faster bandwidth; Easier maintenance (socket used); Open ecosystem	Higher requirement on thermal management and smaller form factor
CPO	Closest to switch ASIC so highest and fastest bandwidth	Extremely complicated for chip manufacturing; Hard for maintenance (bumped)

Source: UBS China tech team (report link)

Figure 17: Active devise supply chain



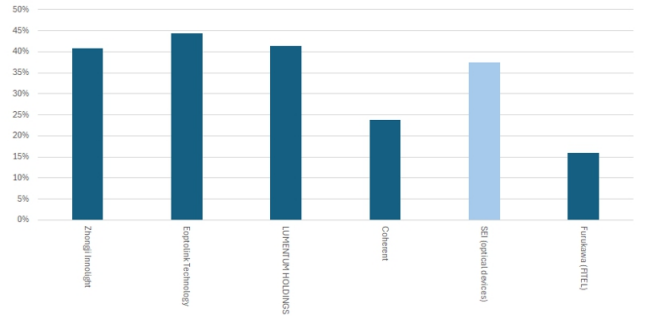
Source: UBS

Figure 18: Product development from major "active component" companies

Company	CW	EML	DFB	Leading disclosed product / specification	Primary application / wavelength	Public maturity
Furukawa Electric	Confirmed	Confirmed	Confirmed	CW-DFB chips at ~70 mW and ~100 mW; FOL13EBxCS EML+SOA at 50 Gbaud and >12 dBm	SiPh / 100G–400G Ethernet; CWDM 1271–1331 nm and O-band LAN-WDM	Commercial CW-DFB; EML samples shipped
Sumitomo Electric Industries	Confirmed	Confirmed	-	STA4P 200 Gb/s EML chip, 112 Gbaud, 15 mW; separate 70 mW CW laser family	DR/FR4; 1271–1331 nm	Commercialized
Coherent	Confirmed	Confirmed	Confirmed	100 mW uncooled / 300 mW cooled CWDM4 DFB; 100/200 Gb/s-class EML chips	DR4/DR8 and 100G–3.2T links; 1270–1330 nm	Commercialized
Lumentum	Confirmed	Confirmed	-	InP CW lasers plus 25G NRZ LAN-WDM and 100G PAM4 CWDM EMLs	SiPh/CPO and data-center/telecom; 400G, 800G and 1.6T platforms	Commercialized
Suzhou Dongshan Precision Manufacturing	Announced / planned	Development route	-	Public reporting references CW lasers for silicon photonics and parallel EML development	AI optical interconnect / SiPh	Announcement/plan-level; commercial status not verified
Yuanjie Semiconductor Technology	Confirmed	Confirmed	Confirmed	Up to 100 mW CW DFB; 200G CWDM4 PAM4 EML; 50G PAM4 DFB	Datacom, PON and 5G; 1270–1370 nm families	Commercialized / IDM mass-production lines
Accelink Technologies	-	Platform confirmed	Platform confirmed	Company states independent EML and DFB chip technologies and mass-production platforms	Data center, access, wireless and transport	Mass-production platform disclosed; product specs not public
Broadcom	Confirmed	Confirmed	-	200G/lane EML production release; CW laser demonstrated for 200G SiPh; 400G EML demonstrated in 2025	AI/ML interconnects and 1.6T optics	200G EML in production; CW/400G EML at demo/roadmap stages
Mitsubishi Electric	-	Confirmed	-	200 Gb/s, 112 Gbaud PAM4 EML chip; 1271/1291/1311/1331 nm CWDM4	800G and 1.6T data-center transceivers	Developed; targeted mass production from 2024
MACOM	-	-	Confirmed	25G CWDM DFB die and 50G PAM4 DFB family;	100G CWDM4, 200G FR4, 5G fronthaul; 1271–1331 nm	Commercial die products

Source: UBS, company data

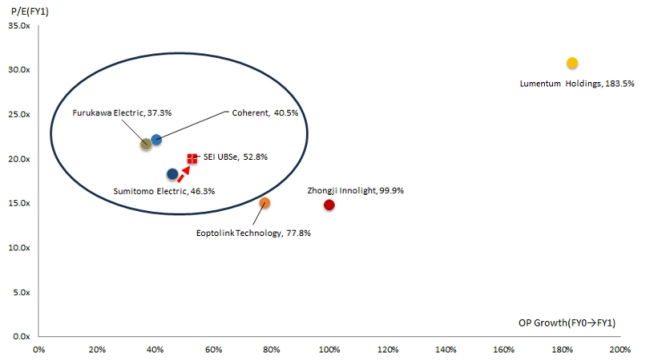
Figure 19: OP Margin



Source: Refinitiv

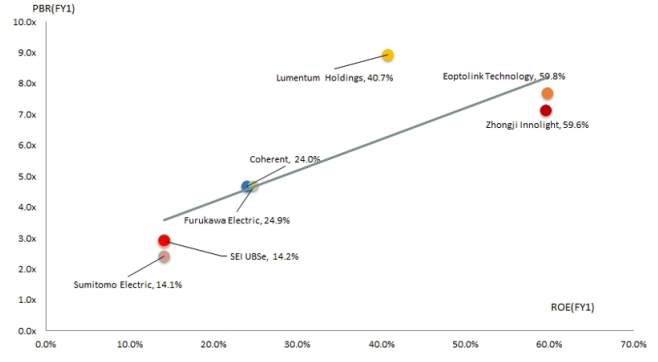
Sumitomo Electric also has a substantial automotive business, making simple comparison of its valuation multiples with global optical-device peers difficult. As Figure 20 shows, its PER (based on FY1 consensus) remains below peer levels due to the high proportion of its business accounted for by automotive components. However, we are bullish on OP growth in its optical devices business, forecasting yoy growth of 89% in FY26, 46% in FY27, and 30% in FY28, driven by the benefits of capacity expansion. As a result, we expect optical devices to account for 20% of OP, with the infocommunications segment as a whole accounting for 47%, supporting a rise in valuation multiples.

Figure 20: Active parts names PER vs OP growth



Source: Refinitiv,UBSe
Note: SEI & Furukawa Electric use the numbers of active parts related segment

Figure 21: Active parts names P/BV and ROE cons



Source: Refinitiv, UBSe

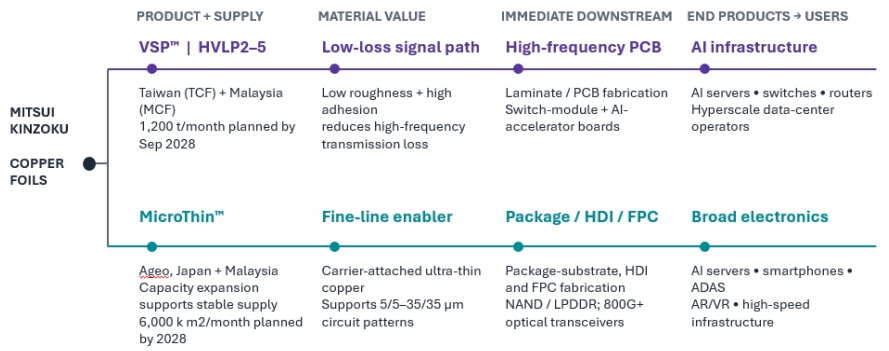
#3 High-density packaging and low signal loss are technology bottlenecks for substrate materials

As optical communication speeds increase, the bottlenecks are extending beyond optical devices to the substrate materials on which they are mounted. As Figure 16 above shows, AI servers and network switches require faster signal transmission between GPUs, HBM and optical devices, making substrate structures that can combine finer wiring with low signal loss increasingly important.

As a result, PCB manufacturing is shifting from the conventional subtractive process to MSAP (Modified Semi-Additive Process), increasing the importance of high-performance copper foil capable of supporting high-density packaging. Adoption of Mitsui Kinzoku's MicroThin is expanding beyond semiconductor package substrates to high-performance PCBs for 800G/1.6T-generation optical transceivers. Next-generation architectures such as LPO, NPO, and CPO impose tighter signal-integrity requirements at board level, meaning the range of applications for high-performance copper foils such as MicroThin and VSP is likely to expand further.

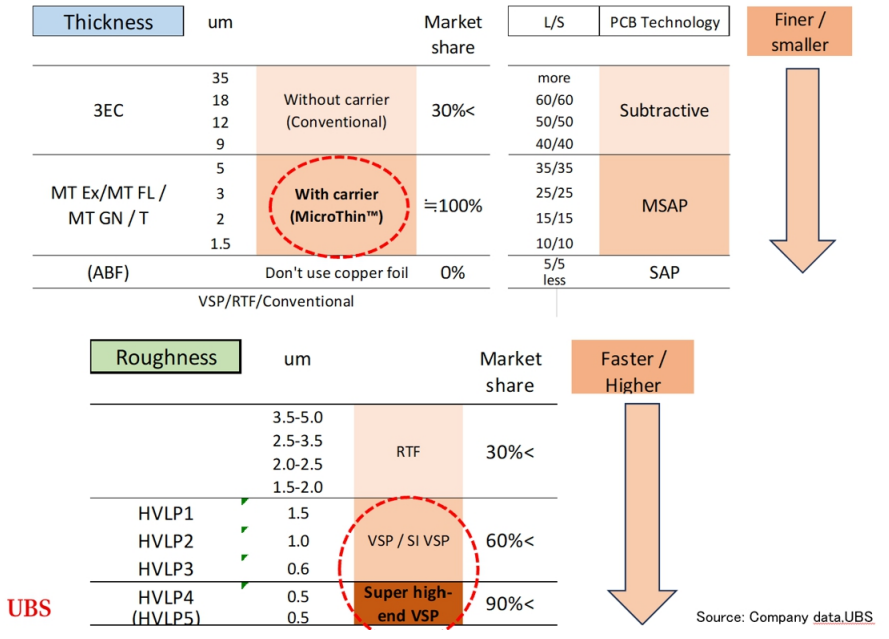
Packaging materials such as VSP and FaradFlex must also simultaneously deliver low signal loss, heat dissipation, and mechanical strength. Competitiveness depends not only on material properties, but also on capabilities in joint development with customers and mass-production technology. We think high performance copper foils and related packaging materials will increasingly become critical technology bottlenecks that determine AI infrastructure performance, rather than simply constitute materials.

Figure 22: Mitsui Kinzoku's copper foil lineup



Source: UBS, company data

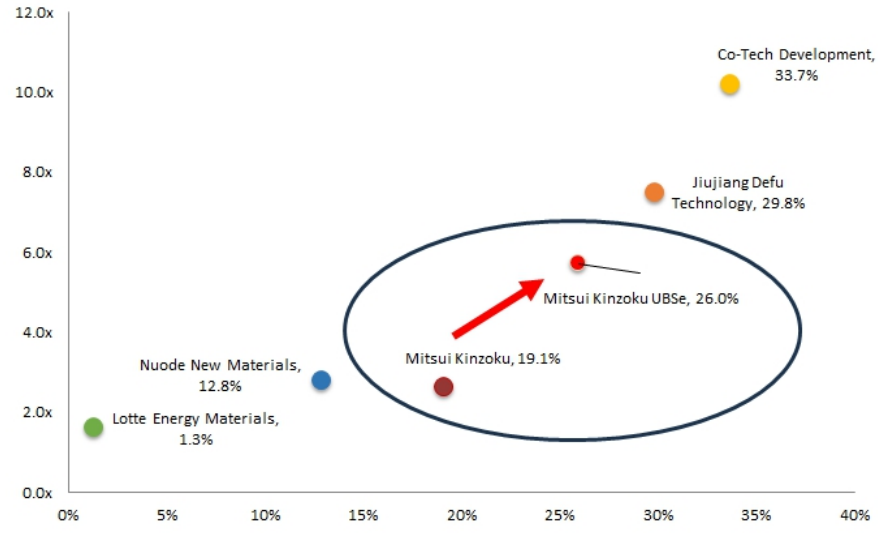
Figure 23: Mitsui Kinzoku copper foil line up



Source: UBS

Against this backdrop of product differentiation, the key question in assessing Mitsui Kinzoku's valuation multiple (Figure 24) is how to assess the earnings growth contribution from its flagship MicroThin, which we believe consensus has yet to factor in. Our estimates factor in ahead of market consensus the sharp increase in demand driven by changes in PCB manufacturing technology, which prompted the capacity expansion announced in late August. We expect this to be increasingly priced into the shares following the upcoming Q2 results announcement in November 2026 and the Engineered Materials Sector strategy briefing in January 2027.

Figure 24: PBR vs RoE consensus FY1



Source: Bloomberg

#4 Technology bottlenecks in materials shifting from volume to larger wafer diameters and quality

Further upstream in the materials value chain, materials technology plays an important role in supporting the performance of optical communications and advanced semiconductors. Active devices used in optical transceivers, particularly light-emitting and light-receiving elements, are formed on InP (indium phosphide) compound semiconductor substrates, and substrate quality affects yield, reliability, and epitaxial growth quality. The mainstream today is 2-4 inch substrates. JX Advanced Metals and Sumitomo Electric are two representative companies with exposure to the high-speed optical communications market through InP substrates. Their differing technology strategies could prove decisive in determining competitive advantage in this area.

For demand, we expect the transition from 800G to 1.6T to progress in AI/data center applications, with growing demand for optical modules as speeds increase driving demand for InP substrates. We made a simplified estimate of InP substrate demand based on the optical module shipment volumes for AI demand estimated by UBS Tech Team (Link). On this basis, we estimate that datacom demand alone in 2030 would be roughly 13x higher than in 2025 (Figure 25). Key assumptions in estimating InP substrate demand include InP substrate yield, epi-wafer yield, the number of chips obtained per wafer and EML/CW adoption mix. A comprehensive assessment of all these factors is difficult, so our current simplified assumptions are subject to further refinement. Our estimate currently assumes the following:

1) Conventional pluggable optical modules using EMLs and SiPh-based modules using CW lasers will remain the mainstream over the next two years. Based on technical commentary from Lumentum and Coherent, we assume the CW adoption rate will increase as communication speeds rise.

2) We assume 800G uses 100G x 8 and 1.6T uses 200G x 8.

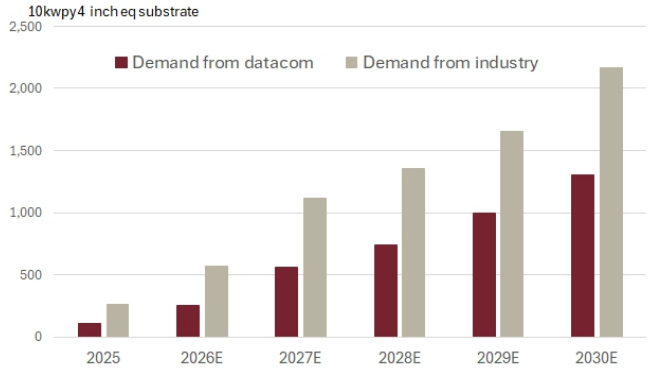
3) We assume a <50% substrate yield, based on the industry average.

Our estimate also excludes demand for CPO, meaning actual demand could be significantly higher after 2028.

Furthermore, we believe 6-inch wafers will be increasingly in demand going forward because larger size offer superior economics through higher productivity and lower costs. Coherent noted that moving from 3-inch to 6-inch wafers more than quadruples device output per wafer while roughly halving costs, and plans to quadruple its 6-inch epiwafer capacity fourfold by 2028. ATX has announced a long-term agreement for 6-inch production.

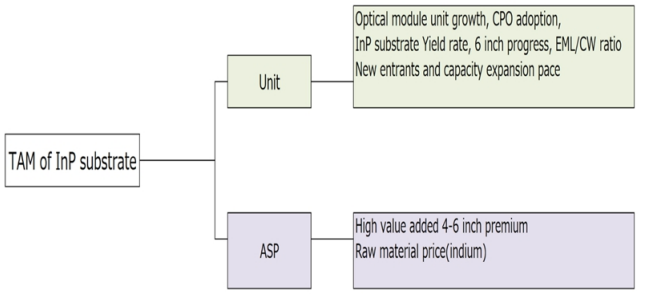
Looking ahead to 800G, 1.6T, and subsequent generations of high-speed communications, we expect the industry to move toward larger wafer diameters as optical devices become more sophisticated. This should also raise the required crystal quality to achieve high yields and high reliability. We therefore think the basis of competition could shift from simply expanding supply volumes to the ability to combine sufficient capacity and high quality.

Figure 25: InP substrates demand forecast



Source: Yole,Company data, UBSe

Figure 26: Factors effect TAM of InP substrate



Source: UBS

On the supply side, high-quality InP substrates have high technological barriers to entry, and the global market is oligopolistic, centred on JX Advanced Metals, Sumitomo Electric Industries, and AXT. To capture medium- to long-term demand growth, the company plans to invest a total of ¥120bn in new buildings and equipment and expand production capacity by up to 10X by 2030. AXT, major competitors, plans to double capacity in 2026 and double it again in 2027. Sumitomo Electric Industries plans to raise capacity to 3.1X the FY3/25 level in FY3/29.

Meanwhile, Chinese companies such as Yunnan Germanium, targeting capacity 3x vs current level, and Vital Optics Technology, targeting annual production capacity of 1 million 6-inch compound semiconductor wafers by 2028, are planning aggressive capacity additions, to the extent that total capacity might become same as major players in 2028. However, technical challenges in achieving high yields and lengthy customer qualification processes suggest actual output may fall short of announced capacity.

Therefore, we expect supply shortages to continue until at least around 2028. We also think supply capacity itself is likely to remain an important competitive advantage for the time being. However, for mature 2-4 inch substrates, Chinese entrants may eventually erode the advantage of scale alone.By contrast, 6-inch substrates should remain tight through 2030 because only Sumitomo Electric and AXT can mass-produce at stable quality.

Figure 27: Major InP producers

Producer	Base	Diameter	Current volume	Expansion target	Global market share
AXT / Beijing Tongmei	China	2–6 in	Not disclosed	Major expansion; 6-in Coherent agreement	Leading / largest supplier cited; exact % not public
Sumitomo Electric Industries	Japan	High-end InP	Not disclosed	3.1× by FY2028	≈40% combined with JX Advanced Metals
JX Advanced Metals	Japan	InP	Not disclosed	7–10× by FY2030	≈40% combined with Sumitomo Electric
Yunnan Xinyao Semiconductor	China	2–6 in	100.1k output; 150k capacity	450k/year, 4-in equivalent	Emerging
Vital Materials	China	4–6 in plan	Not disclosed	6.0m/year InP+GaAs combined	Emerging
San'an Optoelectronics	China	6-in line	Not disclosed	CNY6.5bn project; count n/d	Emerging

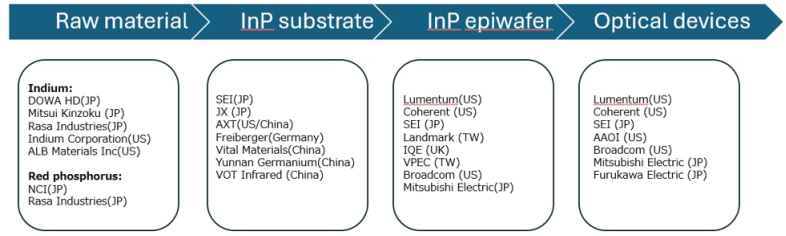
Source: UBS

JX Advanced Metals and Sumitomo Electric have pursued different strategies in InP substrates to date. Sumitomo Electric leverages its proprietary VB method (an application of VGF technology), giving it strength in growing high-quality, low-defect crystals. Meanwhile, JX Advanced Metals has expanded its business mainly using the LEC method, which offers superior mass-production efficiency, but in now introducing VGF for next-generation 6-inch substrates. We view this not simply as capacity expansion, but as a strategy to enter the market for large-diameter, high-performance substrates .

Single-crystal growth technology is a key determinate of competitiveness in InP substrates. The two main production methods are VDF and LEC, and expertise in controlling temperature and pressure during crystal growth, together with mass-production experience, creates high barriers to entry. LEC offers superior productivity by growing the crystal while pulling up a seed crystal. In contrast, VGF precisely controls the temperature gradient and is better suited to growing higher-quality crystals with fewer defects. Sumitomo Electric's VB method is a proprietary technology based on VGF.

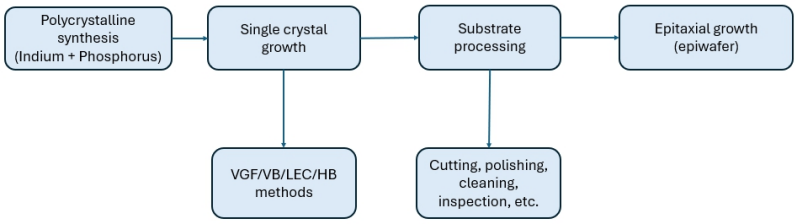
The next focus is the shift to 6-inch substrates. Larger crystal diameters make it far more difficult to control temperature distribution and the solid-liquid interface, increasing the risk of dislocations and defects. For JX Advanced Metals, ramping up VGF production and improving yields should be key earnings drivers (see our initiation report for details). For Sumitomo Electric, we think competitiveness will depend on whether it can maintain its existing technological advantage.

Figure 28: InP substrate supply chain



Source: UBS

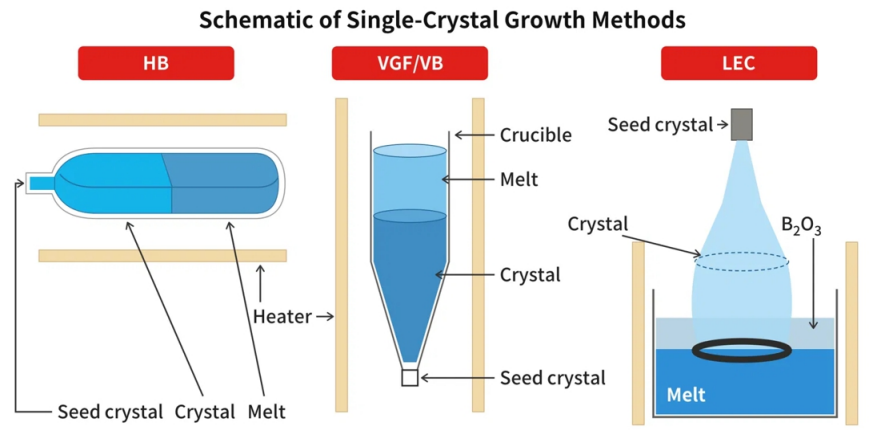
Figure 29: InP substrate manufacturing process



Source: UBS

环球研报直通车 一手研报库 订阅报告-微信：waiziyanbao

Figure 30: Single crystal growth method



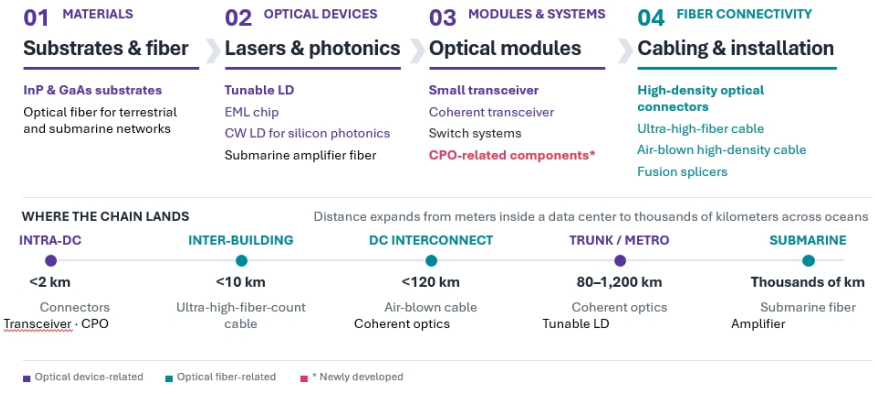
Source: Beijing Tongmei Xtal Technology, UBS

Figure 31: Major InP substrate producers

	LEC	VGF(Vertical Gradient Freeze)/VB(Vertical Bridgeman)
Growth rate	5-15mm/hr	<2mm/hr
Wafer thickness		325um-675um
Max diameter	6''	6''
Etch pit density for 4'' SI wafer	$<5x10^5cm^{-2}$	$<1x10^4cm^{-2}$
Benefits	Fast growth, low cost	High uniformity, low dislocation density crystal
Main challenges	High defects, thermal control	Low growth rate
Price	Relatively low cost	Cost effective
Key players	JX	SEI,AXT,Yunnan Germanium

Source: Company websites, UBS

Figure 32: Sumitomo Electric Industry's products cover the full chain



Source: UBS, company data

When JX Advanced Metals announced a major capacity expansion for InP substrates in June this year, its share price rose 18.9% the following day. Meanwhile, the Visible Alpha consensus for InP substrate sales in FY3/29–30 is 17–24% above UBS estimates. We therefore believes that market expectations for the company's earnings growth are already priced in.

Figure 33: InP substrate related names' valuation

Company	Ticker	Mkt Cap (JPY bn)	P/E(x)			P/B(x)			EV/EBITDA		
			FY1	FY2	FY3	FY1	FY2	FY3	FY1	FY2	FY3
JX Advanced Metals Corp	**5016.T**	**3,284**	**17.5x**	**16.1x**	**14.0x**	**4.1x**	**3.4x**	**2.9x**	**10.1x**	**9.4x**	**8.4x**
AXT	AXTI.O	671	75.2x	29.5x	19.6x	0	0	0	60.4x	93.0x	17.3x
Yunnan Lincang Xinyuan Germanium Industry Co Ltd	002428.SZ	1,269	260.8x	100.2x	316.0x	34.7x	32.6x	30.2x	130.5x	63.0x	148.6x
InP Ave			103.1x	44.7x	92.8x	17.8x	15.3x	13.2x	60.7x	42.0x	41.1x

Source: Refinitiv, UBS, as of 14 Oct 2026

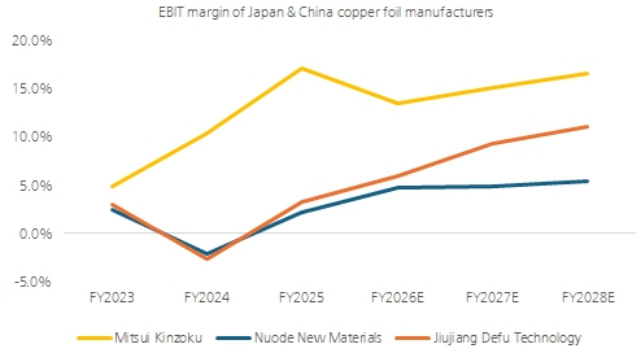
5706 Mitsui Kinzoku: Buy; price target cut from ¥5,620 to ¥4,100 but remains our top pick for data center exposure

Figure 34: Earnings summary

Mitsui Kinzoku	Mar-25	Mar-26	Mar-27								Mar-28	Mar-28			Mar-29	
bnJPY, JPY/share	Actual	Actual	1Q actual	1H Cons E	1H UBS E	1H CE	Cons E	UBS E old	UBS E	CE	MTP	Cons E	UBS E old	UBS E	Cons E	UBS E
Net sales	712.3	758.5	201.6	427.7	400.8	420.0	853.2	836.0	820.0	850.0	650.0	891.5	954.0	916.0	935.8	981.0
OP	74.7	130.9	21.0	48.4	47.3	45.0	108.8	113.6	123.0	94.0		129.3	142.2	146.0	147.8	169.0
RP	76.4	136.7	23.5	53.4	55.8	48.5	115.3	125.0	130.0	100.0	70.0	131.8	153.0	153.0	149.4	177.0
Net Profit	64.7	91.3	16.8	37.4	43.2	35.0	88.4	99.8	89.9	80.0		97.5	116.9	104.9	109.7	116.6
YoY	148.8%	*41.1%*	-	*96.3%*	*126.9%*	*84%*	*-3.2%*	*9.4%*	*-1.5%*	*-12.3%*		*10.3%*	*17.1%*	*16.6%*	*12.6%*	*11.1%*
Inventory factor	18.0	26.4	5.5		6.0	6.2		2.0	0.0	6.8			0.0	0.0		0.0
Core RP	**58.4**	**110.3**	**18.0**		**49.8**	**42.3**		**123.0**	**130.0**	**93.2**	**70.0**		**153.0**	**153.0**		**177.0**
o/w engineered	**35.9**	**61.6**	**16.5**			**36.0**		**83.3**	**93.9**	**74.9**			**106.1**	**113.8**		**141.1**
EPS	113	160	29			61.2	154	174	157.2	140		170	204	183.4	192	203.8
DPS	18.0	*24.5*						*28.0*	*28.0*	*28.0*			32.0	32.0		36.0
Zinc (USD/ton)	2,878	*3,000*	3,353			3,331.0		*3,400*	*3,801*	*3,319*	*2,800*		3,400	4,000		4,000
FOREX (JPY/USD)	150.4	*150.8*	157.6			157.8		*157.0*	*157.6*	*158.0*	*145.0*	207.4	160.0	158.0	227.6	155.0

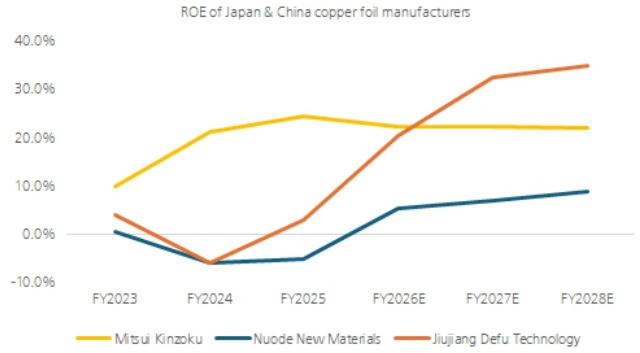
Source: Company data, IFIS, UBS estimates

Figure 35: EBIT margin of Japan & China copper foil makers



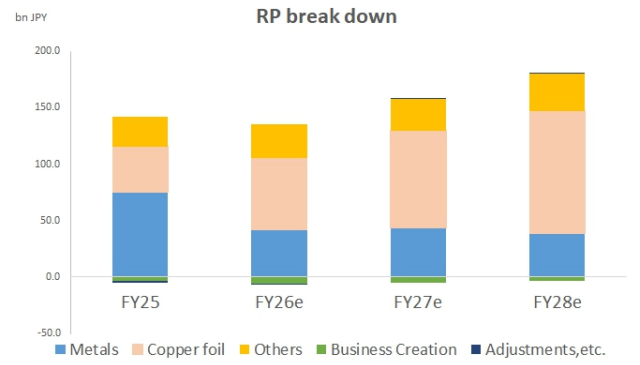
Source: UBS estimates

Figure 36: ROE of Japan & China copper foil makers



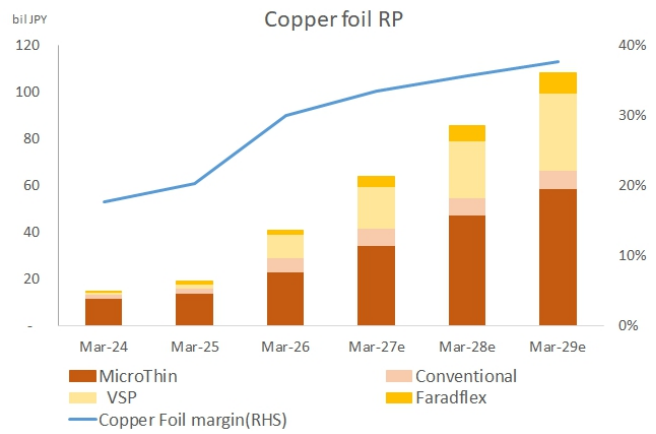
Source: UBS estimates

Figure 37: 5706 RP break down



Source: Company data, UBS estimates

Figure 38: 5706 Copper foil RP estimated



Source: UBS estimates

Key technology bottleneck: targeting ROIC of over 65% in electrodeposited copper foil, led by MicroThin™

Mitsui Kinzoku's competitive advantage lies in its high-performance copper foil portfolio, centered on MicroThin™. We estimate that MicroThin™ accounts for more than 70% of the copper foil business's profit. In addition to smartphone applications, demand is expanding rapidly for FC-BGA substrates used in AI servers and package substrates for DDR5/LPDDR memory. More recently, adoption has also broadened to

PCB applications for 800G and 1.6T optical transceivers, prompting the company to announce a major capacity expansion in August. MicroThin™ has an estimated market share of 98%, giving it a near-monopoly position, while its ROIC reached 52% in FY3/26.

MicroThin™ operated at an average utilization rate of 70% in FY3/26, but the company expects this to rise to 87% in FY3/27, supported by growing demand from optical-transceiver applications. The company plans to expand production capacity to 8.0mn m² per month by FY3/31. Based on our estimates, this implies a volume CAGR of approximately 13% between FY3/27 and FY3/31. The source of earnings growth is not simply higher volumes, but also the increasing contribution from highly profitable MicroThin™ and the resulting improvement in ROIC.

Meanwhile, for VSP™ (HVLP), demand growth for high-grade products such as HVLP 4&5 is accelerating, driven by the increasing speed and density of AI servers. Although competitors are seeking to enter the market, production yields and the ability to ensure stable supply remain significant barriers to entry for high-grade products, and we expect Mitsui Kinzoku to maintain its competitive advantage. In our view, the market is overly concerned about the risk of intensifying competition, while failing to fully appreciate that MicroThin™ remains the principal driver of the company's earnings growth.

FaradFlex® is an embedded-capacitor material for PCBs and accounts for approximately 10% of copper foil profit. The company plans to increase its production capacity by approximately fivefold by FY3/31. In AI servers and high-speed networking equipment, FaradFlex® is positioned to complement or replace surface-mounted discrete components such as MLCCs, and we see it as a potential new source of profit over the medium to long term.

Figure 39: Equipment, yield and verification cycle are the main 3 bottlenecks for the newcomers

Company	Equipments	Yield	Verified by downstream clients
Mitsui Kinzoku	Proprietary/in-house copper-foil production and surface-treatment facilities	Not publicly disclosed. >85% estimated.	Not publicly disclosed.
Furukawa Electrics	In-house high-frequency copper-foil surface-treatment lines	Not publicly disclosed.	Not publicly disclosed.
Defu Tech	Mifune MSP-8000-series high-end surface-treatment machines	Reported >60% for HVLP4 during ramp-up; not company-verified.	Shengyi Technology, Elite Material/EMC, Panasonic, Shennan Circuits and Victory Giant.
Nuode	General electro-deposited copper-foil line equipment is supplied by Hongtian (forming machines, cathode rolls and surface-treatment machines); HVLP4-specific vendor not confirmed.	Not publicly disclosed; HVLP4 described as in customer validation.	Partially verified, customer unnamed: Nuode states HVLP4 completed performance tests with some customers and was sampled to a core Taiwanese customer.
Tongguan	Mifune MSP-8000 Pro high-end surface-treatment machines	Reported ~75% during ramp-up, potentially 80–85% after improvement; not company-verified.	Elite Material/EMC, Shengyi Technology, WUS Printed Circuit and Shennan Circuits; also reported as entering NVIDIA/Google/AWS supply chains.
Co-tech	Mifune MSP-8000-series surface-treatment machines	Not publicly disclosed	Not publicly named. Industry reporting links Co-Tech's HVLP4 expansion to NVIDIA-led direct material procurement, but does not identify a qualifying CCL/PCB customer.
Lotte Energy Materials	Converted its existing general-purpose circuit-board copper-foil line at Iksan Plant No. 1 into a dedicated HVLP4 line	Not publicly disclosed	Doosan Electronics BG. It also disclosed testing with an unnamed North American end customer.

Source: UBS, company data

Raising our earnings forecasts for copper foil to reflect MicroThin™ capacity expansion

We made minor adjustments to its recurring profit (RP) forecasts versus its previous estimates. While we have revised our foreign exchange assumption from ¥160/USD to ¥155/USD, we have raised our forecasts for Engineered Materials, mainly to reflect the expansion of MicroThin™ applications. We estimate that copper foil accounted for approximately 30% of profit in FY3/26, and forecast this contribution to increase to about 56% in FY3/28 and to over 60% in FY3/29. We have made only minor revisions to our EPS forecasts, reflecting changes including our effective tax rate assumptions.

For copper foil sales volumes, UBS forecasts MicroThin™ volume, including memory package and optical transceiver substrate applications, to increase 27% YoY in FY3/27 on an area-index basis, while VSP™ volume is forecast to increase 32% YoY on a weight-index basis. For FY3/28, we forecast growth of 18% YoY and 23% YoY, respectively. As the capacity expansion will focus on modifications and additions to

existing facilities, as well as productivity improvements, it should require neither major investment nor a lengthy lead time. We therefore expect it to contribute directly to improvements in ROIC and margins through lower fixed costs per unit.

Valuation: Lowering price target to ¥4,100, but top pick among data center-related names

We lower our price target from ¥5,620 to ¥4,100, equivalent to FY3/27E PBR of 5.77X (previously 6.6X) and PER of 22.4x (previously 32.2X). We derive our fair PBR using an average ROE forecast of 23.9% for FY3/28-29 (previously 22.3%), an average COE forecast of 7.1% (previously 6.2%), a perpetual growth assumption of 3.0% (previously 2.8%), and a risk-free rate of 2.9% (previously 2.4%). Our reference BPS is FY3/27E of ¥710/share.

Figure 40: Mitsui Kinzoku data summary

Rating	Buy
Target Price(12month) JPY	4,100

Per share analysis

JPY/share	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
EPS	14.9	45.5	113.1	159.5	157.2	183.4	203.8
BPS	443	487	578	720	710	806	915
DPS	14.0	14.0	18.0	24.5	28.0	32.0	36.0
Dividend payout ratio	94.0%	30.8%	15.9%	15.4%	17.8%	17.5%	17.7%
P/E	170.8	55.9	22.5	15.9	16.2	13.9	12.5
P/BV	5.7	5.2	4.4	3.5	3.6	3.2	2.8
Dividend yield	0.6%	0.6%	0.7%	1.0%	1.1%	1.3%	1.4%
ROE	3.5%	9.8%	21.2%	24.5%	22.0%	24.2%	23.7%
COE	16.0%	19.5%	10.7%	10.7%	8.7%	7.7%	6.6%

P/L

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Net Sales	652.0	646.7	712.3	758.5	820.0	916.0	981.0
Operating profit	12.5	31.7	74.7	130.9	123.0	146.0	169.0
Segment profit (RP)	19.9	44.5	76.4	136.7	130.0	153.0	177.0
Net Profit post minorities	8.5	26.0	64.7	91.3	89.9	104.9	116.6

B/S

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Cash and Cash equivalents	26.8	32.5	44.5	58.3	38.9	47.4	66.4
Current assets (ex-Cash)	320.3	312.1	326.4	365.2	429.1	467.0	493.3
Net Fixed assets	197.8	199.0	191.2	178.0	184.1	189.4	204.1
Intangible assets	8.8	9.1	9.2	6.9	8.3	9.8	11.3
Other assets	78.20	87.97	86.70	89.17	102.63	111.08	119.61
Total assets	631.9	640.6	657.9	697.5	763.1	824.7	894.7
Debt	223.85	206.24	168.98	118.01	118.01	111.74	111.74
Current liabilities	102.56	101.30	105.27	123.25	193.15	203.71	208.70
Other liabilities	44.08	47.06	42.84	35.31	35.31	35.31	35.31
Total liabilities	370.49	354.60	317.09	276.57	346.47	350.76	355.75
Shareholders' equity	253.37	278.52	331.55	412.05	405.91	461.07	523.68
Minorities	8.04	7.50	9.31	8.86	10.70	12.84	15.22
Total shareholders' equity	261.41	286.02	340.86	420.91	416.61	473.90	538.90
net D/E	0.8	0.6	0.4	0.1	0.2	0.1	0.1

Commodity Assumptions

	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
FOREX (JPY/USD)	136	145	153	151	158	158	155
Zinc (USD/ton)	3,202	2,509	2,878	2,971	3,801	4,000	4,000

Break down

bn JPY Segment profit (RP)	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Engineered materials	10.7	16.4	40.3	66.5	93.9	113.8	141.1
of which copper foil estimated	8.3	13.4	19.0	40.5	63.9	85.7	108.1
Metals	9.1	16.1	44.5	75.1	41.7	43.8	38.8
Mobility realted	3.2	11.3	0.7	-0.8	0.0	0.0	0.0
Affiliates coordination	0.7	3.2	1.7	-3.7	-5.5	-4.9	-3.7
Adjustment	-3.8	-2.4	-10.8	-1.2	-0.1	0.3	0.8
Total	19.9	44.5	76.4	136.7	130.0	153.0	177.0
Copper foil profit weight	42%	30%	25%	30%	49%	56%	61%

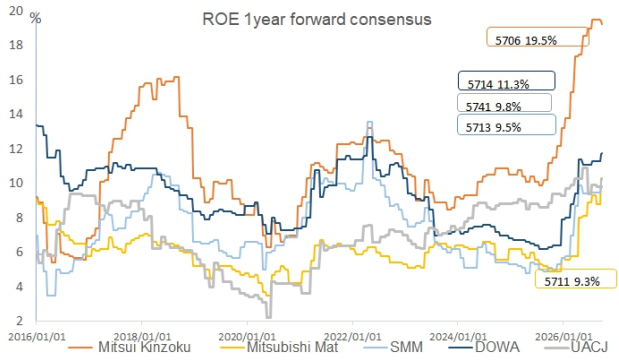
bn JPY Sensitivity (RP bnJPY)	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
FOREX (JPY/USD)	0.6	0.6	0.4	0.5	0.5	0.5	0.5
Zinc (100USD/ton)	1.3	1.3	1.3	1.0	1.0	1.5	1.5

C/F

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Reported net profit	8.5	26.0	64.7	91.3	89.9	104.9	116.6
Change in net working capital	10.8	9.7	(18.6)	(35.4)	6.0	(27.3)	(21.3)
Others adjustments	29.5	36.3	29.5	30.0	21.8	22.9	23.7
C/F from operations	48.8	71.9	75.6	85.9	117.7	100.5	119.0
Net Capex	(32.6)	(33.2)	(33.1)	(38.0)	(36.0)	(36.0)	(46.0)
Other investing cash flows	(0.5)	(0.9)	9.2	0.8	(5.0)	0.0	0.0
C/F from investing	(33.0)	(34.0)	(23.9)	(37.2)	(41.0)	(36.0)	(46.0)
Equity raised/(bought back)	0.0	0.0	0.0	0.0	0.0	(20.0)	(20.0)
Dividends paid	(6.9)	(12.5)	(9.6)	(11.4)	(91.0)	(17.2)	(19.5)
Net inc/(dec) in borrowings	(7.1)	(20.7)	(32.8)	(41.5)	0.0	(6.3)	0.0
Other financing cash flows	(4.4)	(4.2)	(5.0)	(1.0)	0.0	0.0	0.0
C/F from financing	(18.4)	(37.3)	(47.5)	(53.8)	(91.0)	(43.4)	(39.5)
Net cash flow	(1.3)	2.4	4.0	(1.3)	(14.3)	21.1	33.5
Free C/F	15.8	37.9	51.7	48.7	76.7	64.5	73.0

Source: Company data, UBS estimates

Figure 41: Nonferrous metals sector: ROE consensus



Source: Thomson Reuters, UBS estimates

Figure 42: PT calculation

PT Calculation	Old	New
Target Price(JPY)	5,620	4,100
Theoretical P/BV(x)	6.61	5.77
P/E(x) 28/3	32.2	22.4
BPS (JPY/share) 27/3	851	710
ROE Avg(28/3-29/3)	22.3%	23.9%
COE Avg(28/3-29/3)	6.2%	7.1%
Risk free rate	2.40%	2.90%
Beta	1.49	1.50
Beta's Delta	-0.20	-0.21
Risk premium	2.2%	2.9%
Sustainable growth rate	2.8%	3.0%

Source: Thomson Reuters, UBS estimates

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will copper foil account for more than 60% of profit?
Yes. In addition to increased sales volumes of MicroThin™ for package substrates, the growth scenario is accelerating, driven by expanding applications in PCBs for optical transceivers, broader adoption of high-performance VSP™ for AI servers, and a rising mix of high-value-added products. Contribution from new areas such as FaradFlex® also represents a source of upside. UBS forecasts copper foil-related recurring profit to account for 49% of the total in FY3/27, rising to 56% in FY3/28 and 61% in FY3/29.

UBSVIEW

We maintain our Buy rating and continue to position the stock as our top pick among DC-related names. Growth will likely be driven by increased sales of MicroThin™ for memory package substrates and optical-transceiver PCBs, as well as high-grade VSP™ copper foil for AI servers. The broadening of the growth scenario, including the expansion of FaradFlex®, is also positive. We expect the changing earnings mix, with a greater contribution from high-margin businesses, to support an upward multiple shift. We forecast ROE to remain high over the medium term at 22.0% in FY3/27E, 24.2% in FY3/28E and 23.7% in FY3/29E.

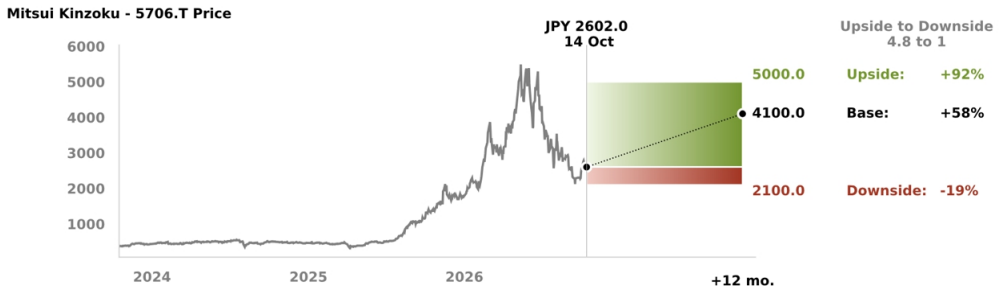
EVIDENCE

The improvement is attributable not merely to volume growth, but also to higher profitability. For MicroThin™, capacity expansion and broader applications are progressing, while for VSP™, the product mix is shifting toward higher-performance grades and pricing is improving against a backdrop of tight supply-demand conditions. The copper foil business's RP margin was 20.3% in FY3/25 and 30.0% in FY3/26, and is forecast to reach 33.5% in FY3/27E.

WHAT´S PRICED IN?

At the current share price, the stock trades at 12-14X FY3/28E PER, implying a valuation multiple more akin to that of a non-ferrous metals or resources stock. The market remains focused on the demand environment and competition. it would be excessively pricing in the risk of intensifying competition with Asian peers. We believe the market does not fully reflect the potential for margin expansion arising from technological bottlenecks, or the potential growth of new profit pools, including substrate materials for optical transceivers and FaradFlex®. We also expect the widening ROE/COE spread resulting from changes in the profit portfolio to become a key valuation consideration.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	ROEe (FY3/28-29 ave)	COEe (FY3/28-29 ave)	PBR(x)	BPS (FY3/27e JPY/ share	Gap
¥5,000upside	26.8%	6.8%	6.6x	751	+92%
¥4,100base	23.9%	7.1%	5.5x	710	+58%
¥2,100downside	15.1%	7.4%	3.3x	648	-19%

Source: Thomson Reuters, UBS estimates

5803 Fujikura: Buy; target price lowered from ¥8,320 to ¥6,270

Figure 43: Earnings summary

5803 Fujikura	Mar-25	Mar-26	Mar-27								Mar-28			Mar-29	
bnJPY, JPY/share	Actual	Actual	1Q actual	1H Cons E	1H UBS E	1H CE	Cons E	UBS E old	UBS E	CE	Cons E	UBS E old	UBS E	Cons E	UBS E
Net sales	979	1,182	402.0	823.8	827.0	821.0	1,756	1,519	1,771	1,755	1,928	1,784	1,926	2,168	2,078
OP	135.5	188.7	104.8	209.3	213.2	198.0	441.6	340.0	460.0	432.0	489.4	465.0	536.0	580.5	590.0
o/w IT	92.2	152.7	98.0		197.3	183.7		302.8	427.6	401.8		429.7	500.4		554.7
RP	137.2	199.5	111.5	219.0	222.8	209.0	457.8	351.0	480.0	453.0	513.0	477.0	561.0	600.3	619.0
Net Profit	91.1	157.2	80.4	156.2	160.8	149.0	338.2	271.2	371.0	326.0	374.5	368.5	428.1	446.4	473.4
YoY	*78.6%*	*72.5%*	*156.8%*	*132.6%*	*139.5%*	*122%*	*115.2%*	*72.6%*	*136.0%*	*107.4%*	*10.7%*	*35.9%*	*15.4%*	*19.2%*	*10.6%*
EPS	55.1	94.9	48.6		97.1	90.0	204.2	163.8	224.0	196.9	226.7	222.5	258.8	268.7	287.7
DPS	16.7	*37.5*			42.0	19.0		*65.0*	*89.6*	*38.0*		*89.0*	*103.5*		*115.1*

Source: Company data, IFIS, UBS estimates

A solutions provider for passive components

Fujikura combines products including Spider Web Ribbon (SWR), WTC (Wrapping Tube Cable: ultra-high-fiber-count, small-diameter slotless cable) and MPO/MMC connectors to provide customers with cabling solutions. Its competitive advantage lies not in the optical fiber itself, but in connectivity technology that integrates fiber ribboning, cabling, and connector processing. As AI clusters continue to scale up, we think Fujikura can expand its earnings opportunities not simply as a passive-component manufacturer, but as a solutions provider with engineering capabilities that deliver shorter installation times and space savings.

Although concerns initially emerged at the beginning of FY3/27 regarding optical fiber supply capacity constraints and rising outsourcing costs, the company's two subsequent upward revisions to earnings guidance demonstrated its ability to accelerate top-line growth through increased orders for downstream products and project-based businesses, as well as through successful price pass-through. UBS incorporates this change in its forecasts and expects the operating margin of the Information & Communications business to improve from 23.4% in FY3/26 to 35.6% in FY3/27 and 37.0% in FY3/28. While the market remains focused on optical fiber supply and demand conditions, we believe the center of the company's value creation has in fact shifted toward high-density optical wiring solutions.419

We raise our forecasts to reflect factors including increased orders in the solutions business. We now forecast a 35.4% sales CAGR for the infocommunications segment over the five years from FY3/26 to FY3/31. We expect the segment OP margin to improve from 23.4% in FY3/26, including one-off negative factors, to 35.6% in FY3/27E (previously 31.2%) and 37.0% in FY3/28E (35.1%). We raise our OP forecasts to ¥460bn for FY3/37 (+35% vs. our previous forecast) and ¥536bn for FY3/28 (+15%). We also raise our EPS forecasts from ¥164/share to ¥224/share for FY3/27 and from ¥223/share to ¥259/share for FY3/28.

Valuation: Lowering price target to ¥6,270

We lower our price target from ¥8,320 to ¥6,270, equivalent to FY3/27E PBR of 11.9X (previously 17.9X) and PER of 24.2x (previously 37.4X). We raise our ROE forecast but also factor in higher COE due to increases in the risk-free rate and risk premium. We derive our fair PBR using an average ROE forecast of 41.9% of FY3/28-29 (previously 40.8%), and average COE forecast of 6.5% (previously 5.3%), a perpetual growth assumption of 3.0% (unchanged), and a risk-free rate of 2.9% (previously 2.6%), among other assumptions. Our reference BPS is an end-FY3/27E of ¥525/share.

Figure 44: Fujikura data summary

Market stats	
Rating	Buy
Target Price(12month)	6,270

Commodity Assumptions	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
FOREX (JPY/USD)	144.6	152.0	151.0	157.0	160.0	160.0

5803 Fujikura

Per share analysis

JPY/share	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
EPS	30.8	55.1	94.9	224.0	258.8	287.7
BPS	206.1	246.2	338.5	524.9	652.3	791.4
DPS	9.2	16.7	37.5	89.6	103.5	115.1
Dividend payout ratio	29.7%	30.3%	39.5%	40.0%	40.0%	40.0%
P/E				22.5	19.5	17.5
P/BV				9.6	7.7	6.4
Dividend yield				1.8%	2.1%	2.3%
ROE	16.7%	24.3%	32.5%	51.9%	44.0%	39.8%
COE	9.7%	9.5%	9.0%	7.0%	6.7%	6.3%

Break down

bn JPY Operating Income	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
Energy	8.7	11.9	18.9	23.9	17.3	17.6
Telecommunication	39.2	92.2	152.7	427.6	500.4	554.7
Electronics	16.6	22.9	7.7	6.2	12.1	12.5
Automotive	1.2	5.8	6.8	2.8	6.2	6.4
Real Estate	4.9	4.9	5.0	5.6	5.6	5.7
Others	(1.1)	(2.2)	(2.4)	(6.0)	(5.6)	(6.9)
Total	69.5	135.5	188.7	460.0	536.0	590.0
Telecom OP Margin	13.2%	20.4%	23.4%	35.6%	37.0%	37.3%

P/L

bn JPY	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
Net Sales	799.8	979.4	1,182.4	1,771.0	1,926.0	2,078.0
Operating profit	69.5	135.5	188.7	460.0	536.0	590.0
PBT	64.2	121.4	204.6	479.7	560.2	619.0
Net Profit post minorities	51.0	91.1	163.8	258.8	287.7	311.0

bn JPY

Sensitivity (OP cha	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
FX (by 1JPY/USD)		1.0	1.7	2.0	2.0	2.0

B/S

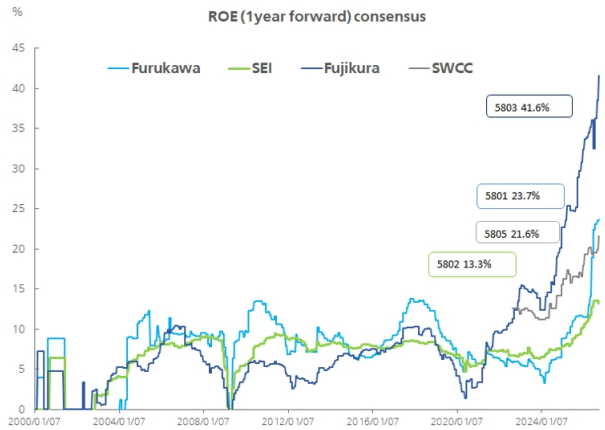
bn JPY	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
Cash and Cash equivalents	147.8	185.0	181.2	237.2	306.0	410.4
Current assets (ex-Cash)	319.5	376.4	476.4	688.9	745.0	780.5
Net Fixed assets	165.7	171.4	196.9	268.2	347.6	420.0
Intangible assets	20.4	18.3	18.1	18.1	18.1	18.1
Other assets	70.5	79.3	96.9	117.0	141.1	169.2
Total assets	723.9	830.3	969.5	1,329.4	1,557.8	1,798.2
Debt	182.0	157.0	96.2	96.2	96.2	96.2
Current liabilities	136.3	194.3	231.9	275.4	285.4	292.9
Other liabilities	39.0	43.6	48.1	48.1	48.1	48.1
Total liabilities	357.3	395.0	376.3	419.7	429.7	437.2
Shareholders' equity	341.1	407.5	560.4	869.2	1,079.0	1,302.2
Minorities	25.5	27.8	32.8	40.4	49.1	58.8
Total shareholders' equity	366.6	435.3	593.2	909.6	1,128.2	1,361.0
Net D/E	0.10	-0.07	-0.15	-0.16	-0.19	-0.24

C/F

bn JPY	Mar-24	Mar-25	Mar-26	E Mar-27	E Mar-28	E Mar-29
Reported net profit	51.0	91.1	157.2	371.0	428.1	473.4
Change in net working	11.1	(28.9)	(50.6)	(169.1)	(46.1)	(28.0)
Others adjustments	32.3	53.7	26.4	16.1	19.7	26.6
C/F from operations	94.4	115.9	132.9	217.9	401.7	472.0
Net Capex	(19.9)	(26.6)	(37.9)	(99.8)	(114.4)	(117.3)
Other investing cash fl	(1.5)	4.8	4.9	(0.1)	(0.1)	(0.1)
C/F from investing	(21.5)	(21.8)	(33.0)	(99.9)	(114.5)	(117.4)
Equity raised/(bought l	0.0	0.0	0.0	0.0	(70.0)	(80.0)
Dividends paid	(10.9)	(18.2)	(44.6)	(62.1)	(148.4)	(170.2)
Net inc/(dec) in borrow	(22.7)	(36.6)	(64.9)	0.0	0.0	0.0
Other financing cash f	(2.5)	(2.5)	(1.8)	0.0	0.0	0.0
C/F from financing	(36.0)	(57.4)	(111.3)	(62.1)	(218.4)	(250.2)
Net cash flow	40.4	36.3	(2.2)	56.0	68.9	104.4
Free C/F	73.0	94.1	99.9	118.0	287.2	354.6

Source: Company data, UBS estimates

Figure 45: Wire & Cable sector: ROE consensus



Source: Thomson Reuters, UBS estimates

Figure 46: PT calculation

TP Calculation	Old e	New e
Target Price(JPY)	8,320	6,270
Theoretical P/BV(x)	17.9	11.9
Theoretical P/E(x)	37.4	24.2
BPS FY26e (JPY/share)	465	525
ROE Avg(FY27-28)	40.8%	41.9%
COE Avg(FY27-28)	5.3%	6.5%
Risk free rate	2.60%	2.90%
Beta	1.80	1.83
Beta's Delta	-0.6	-0.3
Risk premium	2.1%	2.2%
Sustainable growth rate	3.0%	3.0%

Source: Thomson Reuters, UBS estimates

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UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can infocommunications OP margin exceed 35% (vs. 23.4% in FY3/26)?
Yes, we think this is likely. Growth in high-value-added passive components such as multi-fiber optical connectors, where Fujikura has a high market share of around 60%, is being driven by demand in hyperscale data centers for more cable connections, lower power consumption, and greater efficiency. We expect the capacity expansion phase to continue, while an improving product mix and the benefits of price increases should also support further OP margin improvement. Over the medium to long term, the contribution from a product portfolio capable of generating stable earnings, including OPGW and optical fiber fusion splicers, should also provide strong downside resilience. We forecast the infocommunications segment OP margin will exceed 35% in FY3/28.

UBSVIEW

We maintain our Buy rating. We think several factors are working together to improve Fujikura's earnings: 1) control over breakeven levels and production costs, together with the strength of a product portfolio in which high-share data center products account for more than half of the total, supporting higher ROE; and 2) a strong balance sheet and control over breakeven levels, supporting higher ROE and lower COE. Our average ROE forecast for FY27-28 is 41.9%, above market consensus of 32%. We also expect beta to trend lower over time given the prospect of a substantial improvement in the company's financial position, and reflect this in our COE forecast.

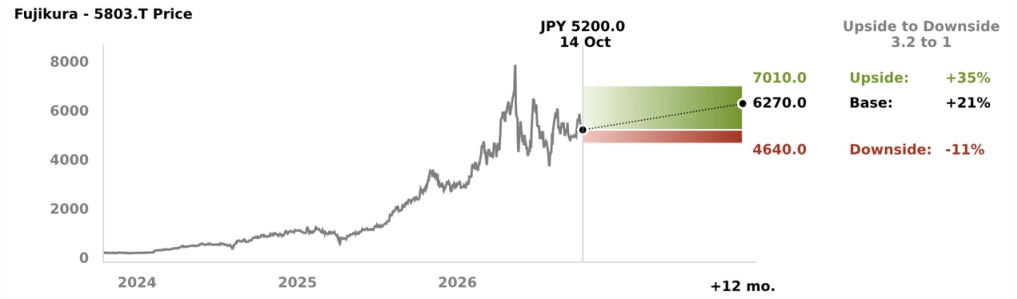
EVIDENCE

Consensus ROE forecasts for FY27E are 24.1% for Furukawa Electric, around 14.0% for Sumitomo Electric, and around 15% for Corning, compared with 40.1% for Fujikura. We therefore think Fujikura should command a substantial PER premium.

WHAT'S PRICED IN?

Fujikura currently trades at a PER in the 25x range based on FY3/27 consensus, below US data center-related peers. However, we think its high ROE and low cost of capital justify a higher multiple than US peers. We do not think the market is fully pricing in Fujikura's company specific strengths, including its high margins supported by strong market shares, further scope for margin improvement, and improving capital efficiency.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	ROE (FY3/28-29 ave)	COE (FY3/28-29 ave)	PBR (x)	BPS (FY3/27e JPY/ share)	GAP
¥7,010upside	43.0%	6.2%	13.4	¥525	+35%
¥6,270base	41.7%	6.4%	12.2	¥514	+21%
¥4,640 downside	37.7%	6.9%	9.6	¥482	-11%

Source: UBS estimates

5802 Sumitomo Electric Industries: Buy; target price lowered from ¥3,845 to ¥2,890

Figure 47: Earnings summary

5802 SEI	Mar-25	Mar-26	Mar-27								Mar-28			Mar-29	
bnJPY, JPY/share	Actual	Actual	1Q actual	1H Cons E	1H UBS E	1H CE	Cons E	UBS E old	UBS E	CE	Cons E	UBS E old	UBS E	Cons E	UBS E
Net sales	4,679.8	5,110.2	1,330.6	2,713.6	2,667.3	2,640.0	5,521.2	5,224.7	5,489.0	5,400.0	5,850.8	5,536.0	6,039.0	6,250.7	6,570.0
OP	320.7	418.2	97.1	210.0	209.3	195.0	489.1	462.0	484.0	450.0	583.3	544.0	592.0	694.6	661.0
o/w IT	19.9	77.4	27.2		58.4	54.0		156.9	146.5	133.0		224.9	225.1		300.2
o/w Energy	78.7	90.6	15.3		34.5	22.0		53.5	77.8	50.0		63.6	97.0		116.3
o/w Auto	172.4	179.7	26.0		64.7	63.0		178.0	170.5	180.0		181.5	193.1		174.6
o/w Electronics	29.3	39.5	11.7		22.5	26.0		37.3	38.1	37.0		37.9	36.7		28.5
o/w Ind. materials	20.6	31.4	17.0		29.7	30.0		35.0	51.8	50.0		35.9	39.6		42.3
RP	306.2	516.3	103.0	210.0	217.3	201.0	508.3	476.0	501.6	460.0	601.9	560.0	613.0	715.0	688.7
Net Profit	195.9	380.6	66.4	146.0	146.0	140.0	366.7	352.7	372.7	340.0	435.6	415.0	455.5	521.8	512.3
YoY	*30.8%*	*94.3%*	*89.1%*	*49.1%*	*49.1%*	*43%*	*-3.7%*	*-7.3%*	*-2.1%*	*-10.7%*	*18.8%*	*17.6%*	*22.2%*	*19.8%*	*12.5%*
EPS	251.2	488.0	21.3		46.8	44.9	117.5	111.1	119.5	109.0	34.9	130.7	146.0	41.8	164.2
DPS	97.0	*154.0*			20.0	19.0		*42.5*	*45.0*	*39.0*		*50.0*	*55.0*		*62.0*
Payout ratio	38.6%	*31.6%*						*38.3%*	*37.7%*	*35.8%*		*38.3%*	*37.7%*		*37.8%*

Source: Company data, IFIS, UBS estimates

Top-tier position in both active and passive products; ROE upside from shifting management resource allocation

Sumitomo Electric's distinguishing feature is that it offers active components such as LDs and PDs for optical transceivers and CPO, in addition to passive components including optical fibre cables and optical connectors. As AI data centers become denser and faster, the company is positioned to benefit from both the increase in the number of connections and the rise in communication speeds. We believe its competitive advantage lies not simply in supplying optical fibre, but in its vertically integrated business structure covering the entire optical signal transmission infrastructure.

The market still tends to value the company as a conglomerate. However, driven by capacity expansion in optical devices, optical connectors and pre-connectorized optical cables, the profit contribution from the infocommunications business is expected to rise further through FY3/29. The company plans to double production capacity by FY3/29 for optical devices (primarily LD chips for optical transceivers and CPO) and optical connectors (primarily ferrules for MMC connectors), where it holds top-tier market shares. We believe that this concentration of management resources on high-value-added businesses could drive both margin expansion and a re-rating of valuation multiples.

We forecast a 29.8% sales CAGR for the infocommunications business over the five years from FY3/26 to FY3/31. We expect the segment OP margin to improve from 23.7% in FY3/26 to 32.9% in FY3/27E and 35.2% in FY3/28E. We revise our OP forecasts to ¥470bn for FY3/27 (+1.7% vs. our previous forecast) and ¥520bn in FY3/28 (-4.4%), reflecting factors including a change in our FX assumptions from ¥160/USD to ¥155/USD.

The management resource allocation we have been focused on increasingly reflects the growth strategy for infocommunications. The three-year investment plan totals ¥1tn, up 47% versus the previous three-year period, while R&D spending is set at ¥540bn, up 17%. Within the investment plan, the allocation to automotive falls from 53% to 42%, while infocommunications rises from 8% to 22% and environment & energy falls from 19% to 18%. We therefore expect the amount allocated to the high-ROIC infocommunications business to increase roughly fourfold to around ¥220bn.

Valuation: Lowering price target from ¥3,845 to ¥2,890

We lower our price target from ¥3,845 to ¥2,890. The implied FY3/27E PBR falls from 4.05X to 3.03X and PER from 34.0x to 24.2X. We derive our fair PBR based on our average ROE forecast for FY3/28-29 of 14.8% (previously 13.9%), average COE forecast of 7.9% (6.0%), our perpetual growth assumption of 3.0% (2.6%), and the risk-free rate of 2.9% (2.4%). Our reference BPS is an end-FY3/27E of ¥954/share.

Figure 48: SEI data summary

Market stats	
Rating	Buy
Target Price(12month)	2,890

5802 Sumitomo Electric Industries

Per share analysis

JPY/share	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
EPS	192.0	248.5	488.0	119.5	146.0	164.2
BPS	2,830.8	2,936.9	3,517.6	953.9	1,044.9	1,147.1
DPS	77.0	97.0	154.0	45.0	55.0	62.0
Dividend payout ratio	40.1%	39.0%	31.6%	37.7%	37.7%	37.8%
P/E	11.9	9.2	4.7	19.2	15.7	14.0
P/BV	0.8	0.8	1.0	2.4	2.2	2.0
Dividend yield	3.4%	4.2%	6.7%	2.0%	2.4%	2.7%
ROE	7.3%	8.7%	15.1%	13.0%	14.6%	15.0%
COE	10.4%	10.1%	10.6%	8.2%	8.0%	7.8%

P/L

bn JPY	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Net Sales	4,402.8	4,679.8	5,110.2	5,489.0	6,039.0	6,570.0
Operating profit	226.6	320.7	418.2	484.0	592.0	661.0
PBT	238.5	306.2	516.3	501.6	613.0	688.7
Net Profit post minorities	149.7	195.9	380.6	372.7	455.5	512.3

B/S

bn JPY	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Cash and Cash equivalent	270	296	237	379	504	486
Current assets (ex-Cash)	1,642	1,694	2,188	2,343	2,501	2,703
Net Fixed assets	946	925	1,189	1,306	1,389	1,459
Intangible assets	36	36	62	62	62	62
Other assets	1,472	1,491	1,148	1,163	1,177	1,191
Total assets	4,365	4,442	4,825	5,253	5,633	5,901
Debt	432	432	621	665	651	496
Current liabilities	681	702	1,029	1,133	1,226	1,313
Other liabilities	181	181	340	374	374	374
Total liabilities	1,294	1,316	1,990	2,172	2,251	2,183
Shareholders' equity	2,208	2,290	2,743	2,976	3,260	3,579
Minorities	304	318	92	105	122	140
Total shareholders' equity	2,168	2,269	2,835	3,081	3,381	3,718

Commodity Assumptions

	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
FOREX (JPY/USD)	145.0	152.0	150.7	159.3	155.0	155.0

Break down

bn JPY Operating Income	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Automotive	144.7	172.4	179.7	170.5	193.1	174.6
Infocommunications	(11.6)	19.9	77.4	146.5	225.1	300.2
Electronics	29.3	29.3	39.5	38.1	36.7	28.5
Environment and Energy	42.9	78.7	90.6	77.8	97.0	116.3
Industrial Materials and Others	21.1	20.6	31.4	51.8	39.6	42.3
Eliminations and Corporate	0.2	(0.3)	(0.5)	(0.7)	0.4	(0.8)
Total	226.6	320.7	418.2	484.0	592.0	661.0
IT Info OP margin	-5.60%	8.90%	23.7%	32.9%	36.7%	38.4%
IT Info OP weight	-5%	6%	19%	30%	38%	45%

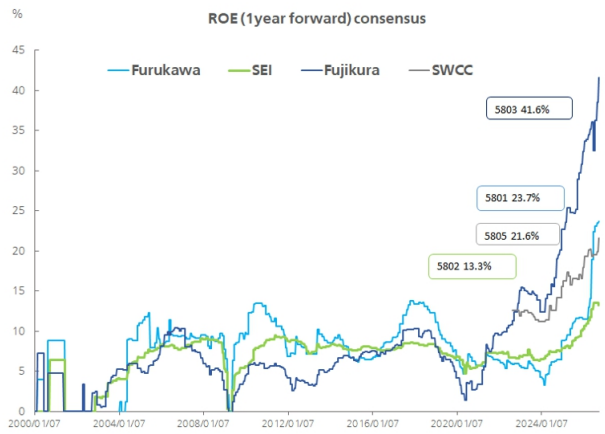
bn JPY Sensitivity (OP change b	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
FX (by 1JPY/USD)			1.2	1.5	1.5	1.5

C/F

bn JPY	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Reported net profit	150	196	381	373	455	512
Change in net working capita	35	-13	-191	-51	-65	-115
Others adjustments	208	219	236	228	270	295
C/F from operations	393	402	425	550	661	692
Net Capex	-179	-200	-222	-346	-350	-361
Other investing cash flows	56	-24	47	0	0	0
C/F from investing	-124	-224	-175	-346	-350	-361
Equity raised/(bought back)	-0	-0	-0	0	0	0
Dividends paid	-39	-69	-87	-140	-172	-193
Net inc/(dec) in borrowings	-213	-51	-92	44	-13	-155
Other financing cash flows	-40	-31	-148	34	0	0
C/F from financing	-292	-151	-326	-62	-185	-349
Net cash flow	-11	26	-59	142	125	-18
Free C/F	270	178	250	204	310	331

Source: Company data, UBS estimates

Figure 49: Wire & Cable sector: ROE consensus



Source: Thomson Reuters, UBS estimates

Figure 50: PT calculation

PT Calculation	Old	New
Target Price(JPY)	3,845	2,890
Theoretical P/BV(x)	4.05	3.03
P/E(x) (FY27/3)	34.0	24.2
BPS (JPY/share) (FY27/3)	952	954
ROE Avg (FY28/3-29/3)	13.9%	14.8%
COE Avg (FY28/3-29/3)	6.0%	7.9%
Risk free rate	2.40%	2.90%
Beta	1.32	1.50
Beta's Delta	-0.05	-0.10
Risk premium	2.9%	3.5%
Sustainable growth rate	2.6%	3.0%

Source: Thomson Reuters, UBS estimates

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can infocommunications OP margin reach 35% (vs. 23.7% in FY3/26)?
Highly likely. In active components, the company is expanding production capacity for optical devices, centered on EMLs (c.30% market share) and CW-LDs (c.50%). It maintains an integrated production structure spanning materials (InP substrates), epitaxial processing, and chip design and manufacturing, and possesses industry-leading competitiveness in high output, low power consumption, and miniaturization.In passive components, the company is expanding its business centered on ferrules for MMC connectors and ultra-high-fiber-count optical cables (Free Form Ribbon™). The OP margin of the Infocommunications business improved from a loss in FY3/24 to 8.9% in FY3/25 and 23.7% in FY3/26. UBS forecasts that, as newly installed production capacity ramps up, the margin will reach 31% in FY3/27, 34% in FY3/28, and the mid-35% range in FY3/29.

UBSVIEW

We maintain our Buy rating. The market continues to value SEI as a conglomerate, and its valuation multiple remains at a discount to peers. However, UBS sees scope for a higher fair valuation multiple, driven by (1) accelerating margin improvement in the Infocommunications business and (2) a shift in the profit portfolio resulting from a more focused allocation of management resources. UBS's revised EPS forecasts for FY3/27-29 are approximately 6-8% above consensus.Under its new medium-term plan, the company has announced cumulative investment of ¥1tn over three years (up 47% vs. the previous three-year period) and R&D expenditure of ¥540bn (up 17%). While the degree of resource reallocation is less aggressive than we had expected, the share of investment allocated to Infocommunications is planned to rise from 8% to 22%. We believe this increased allocation toward the company's high-ROIC Infocommunications business should support medium-term ROE improvement.

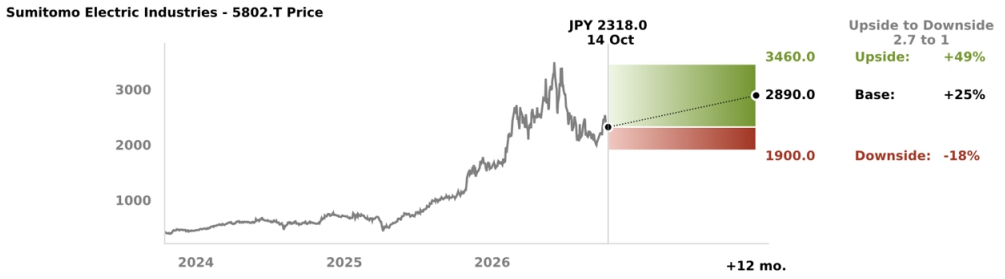
EVIDENCE

Its OP margin of the Infocommunications returned to profitability in FY3/25, driven by improved profitability in optical fiber cables and optical devices. In FY3/26, the benefits of higher sales associated with capacity ramp-up led to a steady improvement in profitability, with quarterly OP margins reaching 13.2% in 1Q, 18.9% in 2Q, 28.2% in 3Q and 29.6% in 4Q.Management has also begun to demonstrate a greater focus on shareholder value, including enhanced engagement with the stock market through investor relations (IR) activities. In addition, management commentary suggesting a narrowing of low-profit products and business areas, as well as tighter discipline in management resource allocation, is noteworthy. Under its new medium-term management plan, the company targets ROIC of at least 15% and ROE of at least 13% by FY3/29.

WHAT´S PRICED IN?

The stock currently trades at approximately 18x FY3/28 consensus PER, which remains relatively undemanding. We believe the market has yet to fully reflect the change in the profit mix driven by earnings growth in the Infocommunications business. Even at present, consensus forecasts imply only 14.0% one-year-forward ROE. In our view, the improvement in profitability and the resulting increase in ROE driven by medium-term changes in the business mix are not yet reflected in the share price.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	ROE (FY3/28-29 ave)	COE (FY3/28-29 ave)	PBR(x)	BPS (FY3/27e JPY/ share)	GAP
¥3,460upside	17.9%	7.7%	3.5	¥984	+49%
¥2,890base	14.8%	7.9%	2.8	¥954	+25%
¥1,900 downside	12.2%	8.6%	2.0	¥930	-18%

Source: UBS estimates

5801 Furukawa Electric: Neutral; target price lowered from ¥5,290 to ¥4,060

Figure 51: Earnings summary

5801 Furukawa	Mar-25	Mar-26	Mar-27								Mar-28			Mar-29	
bnJPY, JPY/share	Actual	Actual	1Q actual	1H Cons E	1H UBS E	1H CE	Cons E	UBS E old	UBS E	CE	Cons E	UBS E old	UBS E	Cons E	UBS E
Net sales	1,201.8	1,307.6	365.2	723.7	746.6	720.0	1,529.7	1,457.0	1,550.0	1,530.0	1,728.0	1,569.0	1,725.0	1,933.3	1,896.0
OP	47.1	63.9	25.5	52.5	52.1	49.5	128.1	98.5	130.0	123.0	173.5	126.0	168.0	224.2	200.0
o/w Optical solutions	(4.0)	11.8	9.2		19.7	18.5		29.0	46.5	43.0		42.1	63.5		71.5
o/w Info componnents	14.1	15.4	7.4		16.3	15.5		40.0	51.7	51.0		53.5	71.5		94.4
RP	48.6	75.9	31.0	62.0	62.5	60.5	148.7	113.2	146.0	143.0	199.9	145.7	189.4	256.9	226.4
Net Profit	33.4	72.5	22.2	43.5	60.4	42.5	112.4	83.1	121.1	105.0	146.3	105.7	137.8	188.0	164.7
YoY	*412.7%*	*117.3%*	*331.1%*	*236.0%*	*366.4%*	*228%*	*55.0%*	*14.6%*	*67.0%*	*44.8%*	*30.2%*	*27.2%*	*13.8%*	*28.5%*	*19.5%*
EPS	473.5	1,030.2	31.6		85.8	60.4	16.0	118.1	172.2	149.3	20.8	150.3	195.9	26.7	234.1
DPS	120.0	*210.0*			11.0	11.0		*22.0*	*26.0*	*22.0*		*30.0*	*32.0*		*40.0*

Source: Company data, IFIS, UBS estimates

Volume-driven profit growth increasingly priced in; limited differentiation from competitive positioning

Furukawa Electric has broad exposure to growth markets including optical cables, optical components, optical devices, thermal products, and electrodeposited copper foil. However, at this stage, we do not identify a clearly differentiated position that supports a sustainable profitability advantage versus peers. We are focused on three factors: (1) whether thermal products can achieve the level of profitability expected by the market, (2) whether the company can increase the mix of high-value-added products within optical solutions, and (3) whether it can demonstrate an ROIC improvement scenario that is not dependent solely on volume growth.

UBS forecasts operating profit of ¥130bn in FY3/27, ¥168bn in FY3/28, and ¥200bn in FY3/29. Sales growth in Rollable Ribbon cables, specialty fiber, MT ferrules, water-cooling modules, and DFB lasers, together with capacity expansion in Japan, the US, and Brazil, should support medium-term growth. Our forecasts incorporate higher sales volumes and utilization rates, but do not assume additional margin expansion based on stronger competitive positioning.

The key issue to monitor is not capacity expansion itself, but whether the company can narrow the profitability gap with peers through a higher mix of value-added products.

Valuation: Lowering price target to ¥4,060

We lower our price target from ¥5,290 to ¥4,060. The implied FY3/27E PBR falls from 7.66X to 5.46X and PER from 44.8X to 23.6X. We derive our fair PBR based on our average ROE forecast for FY3/28-29 of 23.3% (previously 20.5%), our average COE forecast of 7.1% (5.5%), perpetual growth assumption of 2.8% (unchanged), and a risk-free rate of 2.9% (2.4%). Our reference BPS is an end-FY3/27E of ¥744/share.

Figure 52: Furukawa Electric data summary

Per share analysis

JPY/share	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
EPS	254.4	92.4	473.5	1,030.2	172.2	195.9	234.1
BPS	4,284.2	4,657.3	4,845.2	5,924.7	744.0	913.9	1,115.9
DPS	80.0	60.0	120.0	210.0	26.0	32.0	40.0
Dividend payout ratio	31.4%	64.9%	25.3%	20.4%	15.1%	16.3%	17.1%
P/E	14.5	39.9	7.8	3.6	21.4	18.8	15.7
P/BV	0.9	0.8	0.8	0.6	5.0	4.0	3.3
Dividend yield	2.2%	1.6%	3.3%	5.7%	0.7%	0.9%	1.1%
ROE	6.2%	2.1%	10.0%	19.1%	25.8%	23.6%	23.1%
COE	9.9%	8.4%	7.9%	7.3%	7.1%	7.1%	7.1%

P/L

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Net Sales	1,066.3	1,056.5	1,201.8	1,307.6	1,550.0	1,725.0	1,896.0
Operating profit	15.4	11.2	47.1	63.9	130.0	168.0	200.0
Ordinary profit (RP)	19.6	10.3	48.6	75.9	146.0	189.4	226.4
Net Profit post minorities	17.9	6.5	33.4	72.5	121.1	137.8	164.7

B/S

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Cash and Cash equivalents	47.4	48.9	60.0	69.2	26.7	26.7	26.7
Current assets (ex-Cash)	439.4	468.9	496.5	526.4	561.1	607.7	649.6
Net Fixed assets	269.3	278.6	277.0	276.9	347.4	444.6	540.2
Intangible assets	139.8	152.0	121.7	170.9	199.7	235.8	278.2
Other assets	37.6	36.6	31.9	23.1	23.1	23.1	23.1
Total assets	933.5	985.0	987.0	1,066.4	1,158.0	1,337.9	1,517.8
Debt	323.8	333.0	306.2	316.7	319.3	354.0	366.7
Current liabilities	211.7	228.0	239.7	254.3	231.1	250.4	267.8
Other liabilities	68.8	65.9	67.9	60.2	60.2	60.2	60.2
Total liabilities	604.4	627.0	613.7	631.1	610.7	664.7	694.6
Shareholders' equity	301.7	328.1	341.4	417.0	523.4	642.9	785.1
Minorities	27.4	29.9	31.9	18.2	23.9	30.4	38.1
Total shareholders' equity	329.1	358.0	373.3	435.2	547.3	673.3	823.2

Break down

bn JPY **Operating Income**	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Optical Solutions	6.5	(13.0)	(4.0)	11.8	46.5	63.5	71.5
Digital Infra. Comporents	4.2	5.5	14.1	15.4	51.7	71.5	94.4
Energy infrastructure	2.1	1.7	9.8	9.6	7.6	7.8	8.1
Electronics & Automotive	4.7	18.7	32.6	33.9	23.6	24.0	24.4
Metals solutions	0.0	3.1	5.0	5.9	3.7	4.4	5.2
Service and Developments	(2.1)	(1.9)	(5.4)	(6.7)	(3.0)	(3.0)	(3.0)
Adjustment/ Elimination	0.1	0.1	(0.1)	(0.1)	(0.2)	(0.3)	(0.5)
Total	**15.4**	**11.2**	**47.1**	**63.9**	**130.0**	**168.0**	**200.0**

bn JPY

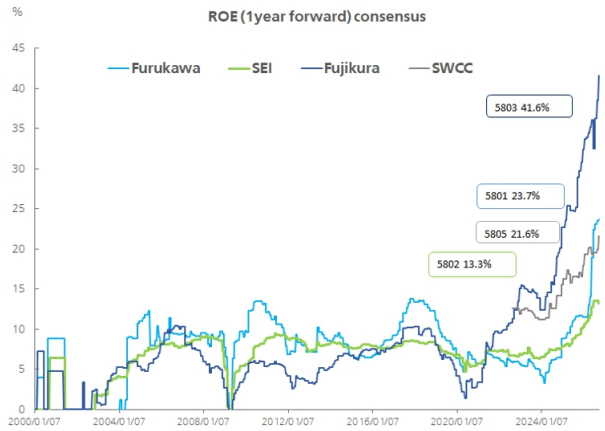
Sensitivity (OP change bnJP'	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29
FX (by 1JPY/USD)				0.4	0.4	0.4	0.4
Our assumption	135.0	145.0	152.0	148.0	155.0	155.0	155.0

C/F

bn JPY	Mar-23	Mar-24	Mar-25	Mar-26	Mar-27 E	Mar-28 E	Mar-29 E
Reported net profit	17.9	6.5	33.4	72.5	121.1	137.8	164.7
Change in net working capital	(7.7)	4.1	(9.2)	(13.6)	(57.9)	(27.3)	(24.6)
Others adjustments	26.3	23.0	42.1	20.3	35.0	42.4	56.2
C/F from operations	36.5	33.6	66.3	79.2	98.3	152.9	196.2
Net Capex	(37.0)	(39.9)	(39.4)	(50.7)	(128.6)	(169.3)	(186.3)
Other investing cash flows	15.3	5.3	12.5	(23.9)	0.0	0.0	0.0
C/F from investing	(21.7)	(34.6)	(26.9)	(74.6)	(128.6)	(169.3)	(186.3)
Equity raised/(bought back)	(0.0)	0.0	0.0	0.0	0.0	0.0	0.0
Dividends paid	(5.4)	(6.2)	(5.3)	(9.8)	(14.8)	(18.3)	(22.5)
Net inc/(dec) in borrowings	(26.6)	(0.3)	(32.4)	33.9	2.7	34.7	12.6
Other financing cash flows	(2.5)	(1.2)	(4.2)	3.1	0.0	0.0	0.0
C/F from financing	(34.5)	(7.7)	(41.9)	27.2	(12.1)	16.4	(9.9)
Net cash flow	(15.7)	(5.3)	0.2	30.2	(42.4)	(0.0)	0.0
Free C/F	14.8	(1.0)	39.4	4.6	(30.3)	(16.4)	9.9

Source: Company data, UBS estimates

Figure 53: Wire & Cable sector: ROE consensus



Source: Thomson Reuters, UBS estimates

Figure 54: PT calculation

TP Calculation	Old	New
Target Price(JPY)	5,290	4,060
Theoretical P/BV(x)	7.66	5.46
P/E(x) (FY27/3)	44.8	23.6
BPS (JPY/share) (FY27/3)	6,900	744
ROE Avg (FY28/3-29/3)	20.5%	23.3%
COE Avg (FY28/3-29/3)	5.5%	7.1%
Risk free rate	2.40%	2.90%
Beta	1.10	1.49
Beta's Delta	0	0
Risk premium	2.3%	2.8%
Sustainable growth rate	2.8%	2.8%

Source: Thomson Reuters, UBS estimates

UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can digital infrastructure components segment OP margin exceed 15% under the medium-term vision?

We think this is possible. In FY3/26, the segment OP margin was 7-8%, while FITEL business, including optical devices, returned to profit after two consecutive years of losses. We expect higher volumes, particularly for DFB lasers, to continue contributing to profit growth from FY3/27. From Q2 FY3/27, we also expect thermal products to become a key earnings driver as expanded production capacity ramps up. Our forecasts assume the segment OP margin improves from 7-8% in FY3/26 to 12% in FY3/27, 14% in FY3/28, and 15% in FY3/29. The key test will be whether volume benefits can offset the increase in fixed costs.

UBSVIEW

We maintain our Neutral rating. We think the benefits of capacity expansion in optical solutions, including optical fiber cables, have increasingly been priced into the shares. The key upside versus earnings consensus is how much of the contribution from thermal products is already priced in as new capacity begins ramping up in FY3/27. We forecast RP of ¥98.5bn in FY3/27 (market consensus ¥86.6bn), ¥126.0bn in FY3/28 (¥122.8bn), and ¥160.0bn in FY3/29 (¥166.6bn).

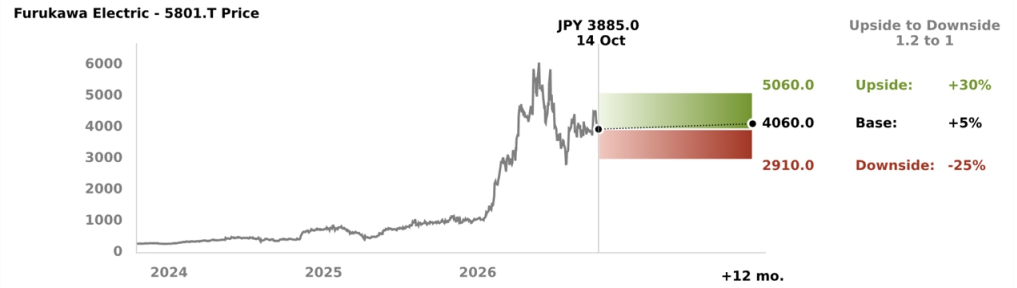
EVIDENCE

Thermal products within the functional products segment have historically generated sales of ¥15bn-¥40bn from FY3/23 to FY3/26, with OP margins of 11-22%. To meet hyperscaler demand for data center applications, Furukawa Electric plans to begin full-scale ramp up of water-cooling module production facilities from FY3/27. The company has announced sales targets of more than ¥100bn in FY3/27 and ¥400bn in FY3/31.

WHAT'S PRICED IN?

At the current share price Furukawa Electric trades at around 22x FY3/28 consensus PER and around 5x FY3/27E PBR. We think the valuation already reflects expansion in optical fiber cables, optical devices, and thermal products, driven mainly by growing hyperscale data center demand. Our analysis suggests the shares are pricing in earnings growth toward the OP level targeted under the medium-term vision for FY3/29.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	ROE (FY3/28-29 ave)	COE (FY3/28-29 ave)	PBR(x)	BPS (FY3/27e JPY/ share)	GAP
¥5,060upside	25.9%	6.9%	6.4	¥796	+30%
¥4,060base	23.3%	7.1%	5.5	¥744	+5%
¥2,910downside	18.3%	7.3%	4.1	¥715	-25%

Source: UBS estimates

COMPANY DESCRIPTION

环球研报直通车 一手研报库 订阅报告-微信：waiziyanbao

JX Advanced Metals: Neutral; target price ¥3,700

Figure 55: Earnings summary

5016 JX Advanced Metals	Mar-25	Mar-26	Mar-27				Mar-28		Mar-29	
bnJPY, JPY/share	Actual	Actual	1Q actual	Cons E	UBS E	CE	Cons E	UBS E	Cons E	UBS E
Net sales	714.9	884.6	260.6	1064.2	1,068.0	1,025.0	1161.9	1,152.0	1252.8	1,244.0
OP	112.5	175.0	8.1	258.5	267.0	232.0	289.1	271.0	325.7	309.0
RP	107.5	169.1	8.0	251.2	260.3	221.0	279.6	263.6	314.6	299.8
Net Profit	68.3	104.6	5.3	166.7	172.6	141.0	186.4	179.1	209.0	206.0
YoY	*-33.5%*	*53.3%*	*181.3%*	*59.3%*	*64.9%*	*34.7%*	*11.8%*	*3.8%*	*12.1%*	*15.0%*
EPS	73.5	112.9	56.8	181.2	192.6	155.8	204.2	205.2	227.1	236.0
Diluted EPS	73.5	112.7	56.1		189.4			201.4		231.7
DPS	0.0	-			*51.1*	*20.0*		*50.3*		*57.9*

Source: Company data, IFIS, UBS estimates

Can the company demonstrate a technological edge as InP substrates move to large diameters?

We forecast a roughly 30% OP CAGR over the next three years for JX Advanced Metals' focus businesses, which comprise the semiconductor materials segment, including semiconductor sputtering targets and InP substrates, and the ICT materials segment, including titanium copper and rolled copper foil. Focus businesses accounted for around 30% of FY3/26 OP. However, consensus already factors in strong growth. In addition, we expect earnings from the base businesses, where mining interests are a major profit source, to decline next year, meaning strong growth in overall OP is unlikely. Over the medium to long term, InP substrates could provide upside as a potentially significant growth driver, but we are not yet confident that the company can sustain high yields beyond FY3/29.

We forecast focus business OP of ¥105bn in FY3/27, ¥134bn in FY3/28, and ¥171bn in FY3/29. For semiconductor sputtering targets, increased wiring process requirements as AI semiconductors become more sophisticated should support OP of ¥45bn (volume growth of 24% yoy) in FY3/27 and ¥62bn (volume +21%) in FY3/28. For InP substrates, we forecast OP of ¥3bn (volume +13%) in FY3/27 and ¥10bn (volume +118%) in FY3/28, supported by growing demand for optical modules for data centers and price increases. For the base businesses, we forecast OP will fall from ¥176bn in FY3/27 to ¥150bn in FY3/28 despite an assumed rise in copper prices, mainly reflecting the roll-off of valuation gains of around ¥17bn. As a result, we forecast only a modest 1.5% yoy growth in total FY3/28 OP.

Resource-related businesses still account for around 60% of earnings, meaning an acceleration in overall earnings growth will depend on whether the focus businesses can develop another profit source comparable with semiconductor sputtering targets. Expectations for earnings growth from InP substrates, one potential candidate, already appear priced in. There is also uncertainty over whether JX Advanced Metals can sustain its competitive advantage over the medium to long term and maintain higher profitability than peers by supplying high-value-added products. The company plans to adopt the VGF method, a new manufacturing process for JX Advanced Metals, as it moves into 6-inch substrates, where it has no mass-production experience. We assume yields will initially deteriorate and raw material costs and depreciation will increase. We therefore forecast the InP substrate OP margin will reach 42% in FY3/28 and then decline.

Valuation: Growth in focus businesses already priced in

Our price target is ¥3,700. We derive this by applying a PBR of 4.0x to our FY3/28E diluted BPS forecast of ¥911/share, equivalent to around 18x PER on a FY+1 basis. We think multiples are unlikely to rise at this stage given lower earnings from the base businesses, which make a significant contribution to ROE, and the need to assess the profitability of InP substrates, where expectations are already high. Based on this view, we assume an average COE of 8.8% for FY3/28-29 and an average ROE of 23.6%.

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Valuation Method and Risk Statement

Mitsui Kinzoku: We value the shares using PBR. Our price target is based on fair-value PBR derived by dividing our estimated average FY3/27–FY3/29 ROE by our estimated average FY3/27–FY3/29 COE - g (permanent growth rate). Our price target is the product of this value and our estimated FY3/27 book value per share.
Furukawa Electric：We use PBR to set our price target. We use our average ROE forecast for FY3/28-29 divided by our average COE forecast for FY3/28-29 minus g (terminal growth rate) as fair-value PBR. We then arrive at our price target by multiplying this by our FY3/27 BPS forecast. Risk factors are 1) macroeconomic change, 2) commodity prices and rapid forex change, 3) rapid change in demand from the auto, information communications, and electronics industries.
Sumitomo Electric Industries: Our valuation is based on the P/BV. We use our average ROE forecast for FY3/28-29 divided by our average COE forecast for FY3/28-29 minus g (terminal growth rate) as the fair P/BV. We then arrive at our price target by multiplying this by our FY3/27E BVPS forecast.Risk factors include (1) changes in macroeconomic conditions, (2) swings in commodity prices and forex rates, (3) rapid movements in demand in the automotive, information & communications, and electronic fields.
Fujikura：We use PBR to set our price target. We use our average ROE forecast for FY3/28–29 divided by our average COE forecast for FY3/28–29 minus g (terminal growth rate) as the fair-value PBR. We then arrive at our price target by multiplying this by our FY3/27 BVPS forecast. Risk factors include (1) macroeconomic trends and news flow related to hyperscaler investment, (2) large fluctuations in forex rates and (3) sharp changes in demand in the telecom and electronics areas.
JX Advanced Metals: We use PBR to set our price target. We use our average ROE forecast for FY3/28-29 divided by our average COE forecast for FY3/28-29 minus g (terminal growth rate) as the fair-value PBR. We then arrive at our price target by multiplying this by our FY3/28 BPS forecast. Risk factors include 1) significant changes in copper prices and forex rates, 3) rapid change in earnings trends, asset quality deterioration, etc. for the projects or businesses the company invests in., and 3) rapid changes in demand in user sectors, mainly data centers and electronic components .

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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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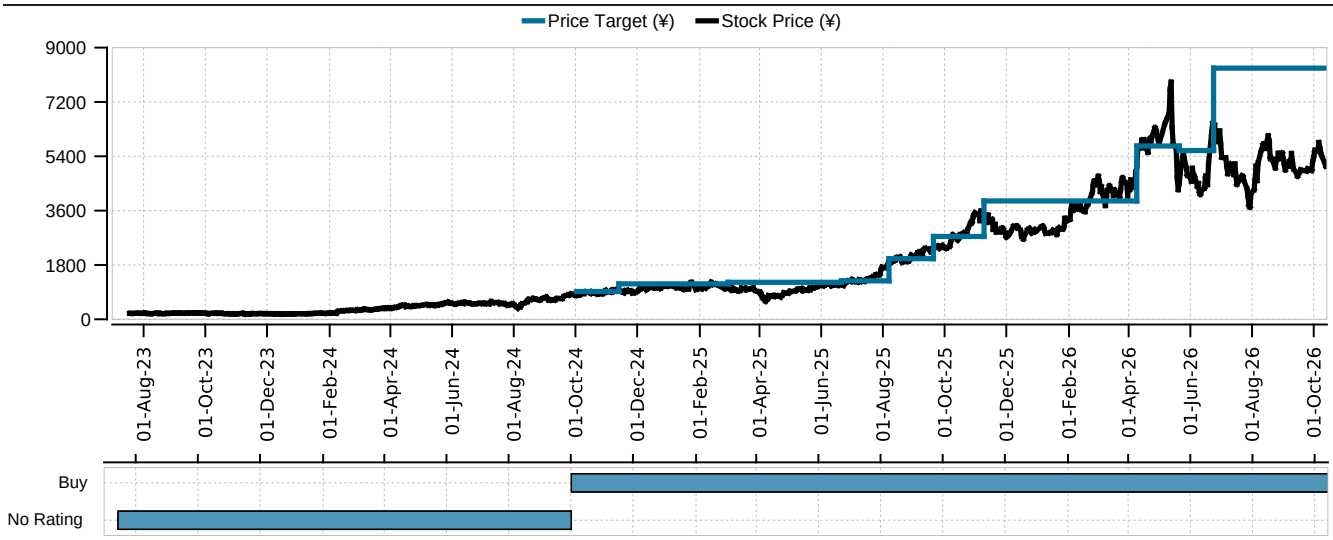
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Fujikura[28a]	5803.T	Buy	¥5,200	14 Oct 2026
Furukawa Electric[28a]	5801.T	Neutral	¥3,885	14 Oct 2026
JX Advanced Metals[28a]	5016.T	No Rating	¥3,460	14 Oct 2026
Mitsui Kinzoku[28a]	5706.T	Buy	¥2,602	14 Oct 2026
Sumitomo Electric Industries[28b]	5802.T	Buy	¥2,318	14 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28a. UBS holds a long position of 0.5% or more of the listed shares of this company.
28b. UBS holds a short position of 0.5% or more of the listed shares of this company.

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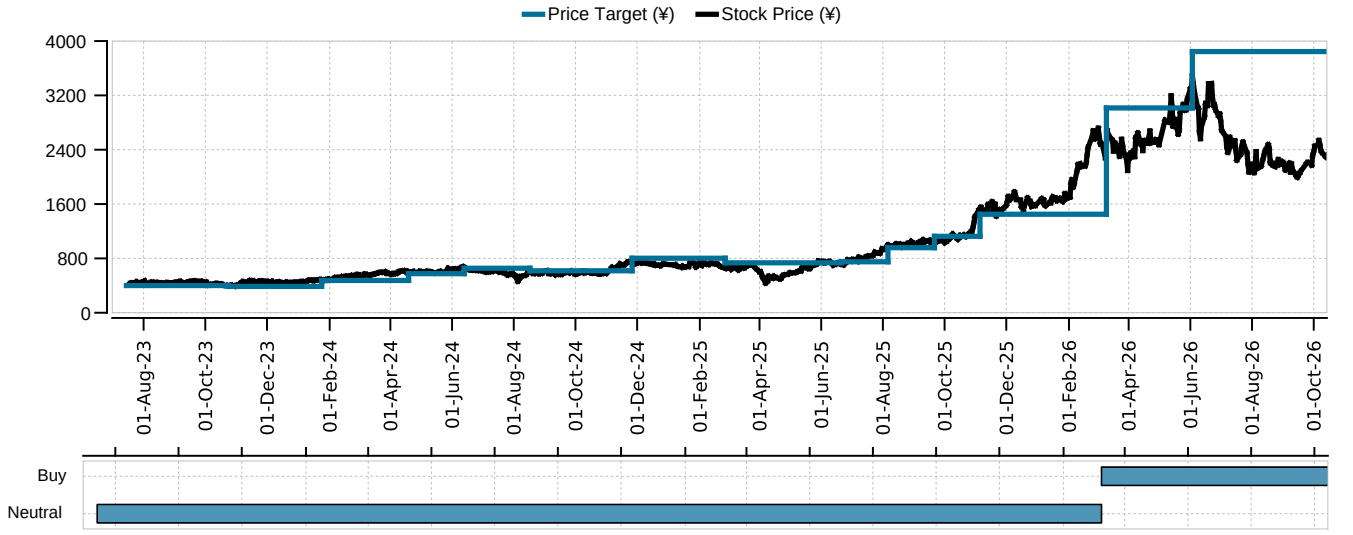
Fujikura (¥)



Date	Stock Price (¥)	Price Target (¥)	Rating
2023-07-14	193	-	No Rating
2024-10-01	833	921.669	Buy
2024-11-12	966	1173.336	Buy
2025-02-28	1023	1225.002	Buy
2025-06-20	1143	1273.336	Buy
2025-08-06	1822	2008.337	Buy
2025-09-19	2329	2743.339	Buy
2025-11-08	3403	3920	Buy
2026-04-08	4876	5740	Buy
2026-05-20	4295	5590	Buy
2026-06-23	6487	8320	Buy

Source: UBS Global Research; LSEG Eikon as of 14-Oct-2026. All prices as of local market close. Ratings as of date shown.

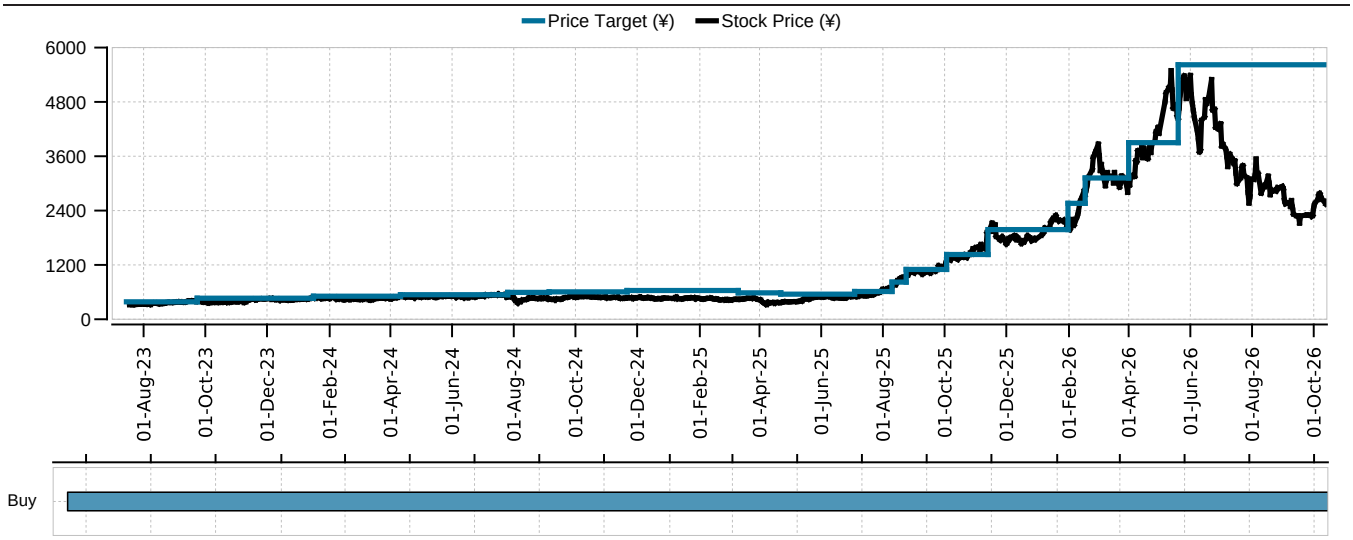
Sumitomo Electric Industries (¥)



Date	Stock Price (¥)	Price Target (¥)	Rating
2023-07-14	422	400	Neutral
2023-10-23	402	387.5	Neutral
2024-01-23	488	475	Neutral
2024-04-18	608	575	Neutral
2024-06-12	676	655	Neutral
2024-08-16	598	617.5	Neutral
2024-11-25	745	802.5	Neutral
2025-02-25	661	735	Neutral
2025-06-20	716	750	Neutral
2025-08-05	980	957.5	Neutral
2025-09-20	1046	1125	Neutral
2025-11-04	1516	1450	Neutral
2026-03-09	2281	3015	Buy
2026-06-02	3254	3845	Buy

Source: UBS Global Research; LSEG Eikon as of 14-Oct-2026. All prices as of local market close. Ratings as of date shown.

Mitsui Kinzoku (¥)



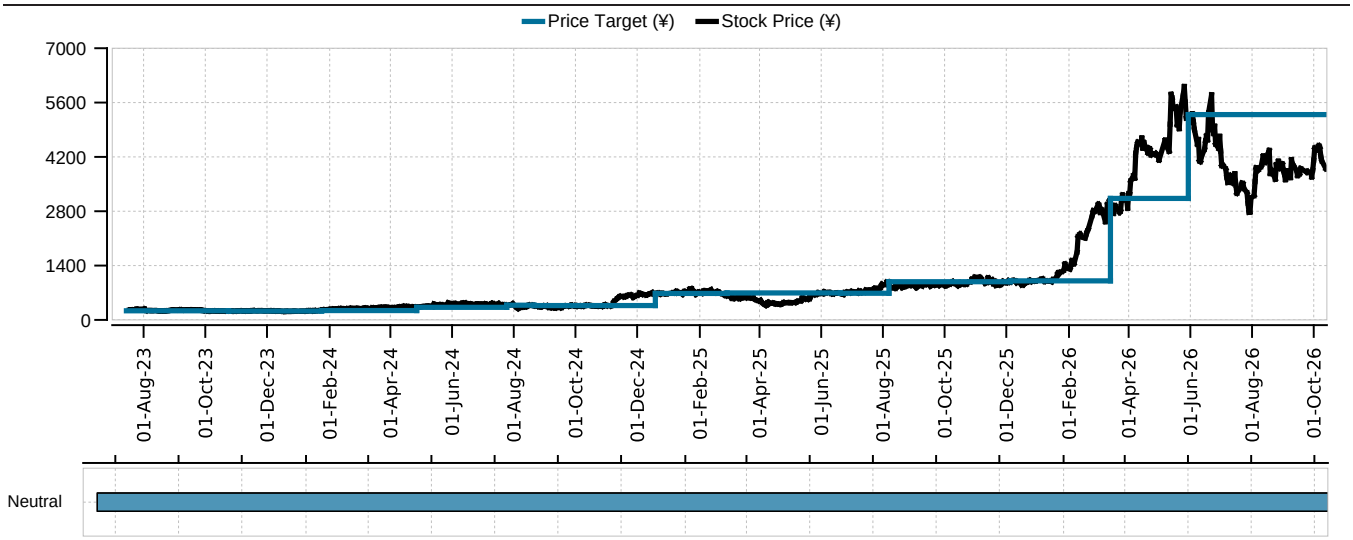
Date	Stock Price (¥)	Price Target (¥)	Rating
2023-07-14	322	385	Buy
2023-09-22	391	465	Buy

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Date	Stock Price (¥)	Price Target (¥)	Rating
2024-01-15	473	509	Buy
2024-04-10	504	542	Buy
2024-07-25	488	593	Buy
2024-09-04	446	605	Buy
2024-11-20	466	635	Buy
2025-03-10	442	583	Buy
2025-04-21	366	554	Buy
2025-07-03	515	613	Buy
2025-08-09	669	820	Buy
2025-08-23	931	1100	Buy
2025-10-02	1235	1430	Buy
2025-11-12	1915	1980	Buy
2026-01-30	2037	2560	Buy
2026-02-16	2836	3120	Buy
2026-03-31	2804	3900	Buy
2026-05-19	4479	5620	Buy

Source: UBS Global Research; LSEG Eikon as of 14-Oct-2026. All prices as of local market close. Ratings as of date shown.

Furukawa Electric (¥)



Date	Stock Price (¥)	Price Target (¥)	Rating
2023-07-14	255	235	Neutral
2023-10-23	227	228	Neutral
2024-01-23	247	241	Neutral
2024-04-26	334	324	Neutral
2024-07-24	383	379	Neutral
2024-08-20	378	370	Neutral
2024-12-18	677	682	Neutral
2025-02-27	661	695	Neutral
2025-06-19	685	687	Neutral
2025-08-06	980	984	Neutral
2025-12-04	981	1006	Neutral
2026-03-13	3069	3130	Neutral
2026-05-29	5206	5290	Neutral

Source: UBS Global Research; LSEG Eikon as of 14-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Lumentum Holdings Inc, US$896.33 (14 Oct 2026); Yangtze Optical Fibre and Cable - A, Rmb357.40 (14 Oct 2026); Jiujiang Defu Technology, Rmb80.64 (14 Oct 2026); Prysmian SpA, €113.15 (14 Oct 2026); Corning Inc, US$140.89 (14 Oct 2026); Source: UBS. All prices as of local market close.

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